

BGIN Meeting Report

Date: TBD

Location: Virtual Meeting

Executive Summary

This meeting focused on the complexities of decentralized finance (DeFi) and its regulatory implications, particularly from the perspectives of Japan's Financial Services Agency (JFSA) and technical experts in the blockchain industry. Key points included:

1. **Regulatory Focus:** The JFSA is exploring ways to mitigate risks in DeFi, focusing on token issuers, intermediaries, and service providers. They are considering how different layers of DeFi can be regulated without stifling innovation.
2. **Technical Measures:** Technical controls such as smart contract traceability, whitelisting, and cybersecurity measures were discussed as potential solutions for ensuring compliance with anti-money laundering (AML) and other regulatory requirements.
3. **Launchpads:** The role of launchpads in the token issuance process was highlighted as an area that is often overlooked but could be crucial for regulatory oversight.
4. **Global Context:** While the U.S. focuses on distinguishing between securities and commodities, Japan's focus is more on whether issuers are identifiable. Both countries face similar challenges in regulating decentralized service providers.

Key Discussion Points

1. **Regulation of DeFi Protocols**
 - The JFSA will continue its research into regulating DeFi protocols, focusing on technical measures and regulatory compliance.
 - There is a suggestion that application layers connecting to compliant DeFi protocols may be exempt from certain regulations (Takaya, JFSA).
2. **Collaboration Between Technical Experts and Regulators**
 - Technical experts from various blockchain projects should collaborate with regulators to develop robust technical controls and risk mitigation strategies.

- This collaboration is crucial for ensuring that regulatory measures are practical and effective.
- 3. **Role of Launchpads in Token Issuance**
 - Regulators are encouraged to consider the role of launchpads in token issuance and explore ways to ensure these platforms comply with regulatory requirements.
 - There is a proposal to place issuance responsibility on market makers, as new tokens can only exist if there are buyers and sellers (Technical Expert).
- 4. **Global Collaboration**
 - Global collaboration is essential to address the challenges of decentralized finance, as many issues are common across different jurisdictions.
 - Engaging in international forums and collaborations will help share best practices and address common regulatory challenges.
- 5. **Decentralization and Identifiability**
 - The concept of decentralization and its implications for identifiability were discussed (Yuta, JFSA).
 - There is a need to clarify the conditions under which entities or users can be considered unidentifiable in decentralized systems.
- 6. **Next Steps and Ongoing Initiatives**
 - The JFSA will continue its round table discussions with industry experts to refine regulatory approaches for DeFi.
 - Technical working groups will be formed to develop and implement robust technical controls and risk mitigation strategies.
 - Guidelines for launchpads will be developed to ensure compliance with regulatory requirements and support successful token issuance.
 - International collaboration efforts will be intensified to share best practices and address common challenges in regulating decentralized finance.

Action Items and Next Steps

1. **JFSA to Continue Research:** The JFSA will continue its discussions and research into the best ways to regulate DeFi protocols, focusing on technical measures and regulatory compliance.
2. **Technical Experts to Collaborate:** Technical experts from various blockchain projects should collaborate with regulators to develop robust technical controls and risk mitigation strategies.
3. **Focus on Launchpads:** Regulators are encouraged to consider the role of launchpads in token issuance and explore ways to ensure these platforms comply with regulatory requirements.

4. **Global Collaboration:** There is a need for global collaboration to address the challenges of decentralized finance, as many issues are common across different jurisdictions.

Key Quotes

1. **Takaya (JFSA):** “Maybe let’s say application layer will be subject to regulations and they need to be compliant to some regulations in terms of MLCFT, but if that application layer only connects with the DeFi protocols that are compliant to whitelisted stuff, maybe that application will be exempt from the regulations.”
2. **Yuta (JFSA):** “The problem is what it means by unidentifiable. Under what conditions they cannot be identified? That is relevant to decentralization.”
3. **Technical Expert:** “I think for the regulators here, one thing to really consider is maybe placing the issuance responsibility onto market makers because in the end, new token issuance will only ever exist because they can have people who can buy and sell that token.”

Next Steps

1. **JFSA Round Table Discussions:** The JFSA will continue its round table discussions with industry experts to refine regulatory approaches for DeFi.
2. **Technical Working Groups:** Form technical working groups to develop and implement robust technical controls and risk mitigation strategies.
3. **Regulatory Guidelines for Launchpads:** Develop guidelines for launchpads to ensure they comply with regulatory requirements and support the successful issuance of tokens.
4. **International Collaboration:** Engage in international forums and collaborations to share best practices and address common challenges in regulating decentralized finance.

Detailed Session Summary

1. **JFSA to Continue Research:** The JFSA will continue its discussions and research into the best ways to regulate DeFi protocols, focusing on technical measures and regulatory compliance.
2. **Technical Experts to Collaborate:** Technical experts from various blockchain projects should collaborate with regulators to develop robust technical controls and risk mitigation strategies.
3. **Focus on Launchpads:** Regulators are encouraged to consider the role of launchpads in token issuance and explore ways to ensure these platforms comply with regulatory requirements.
4. **Global Collaboration:** There is a need for global collaboration to address the challenges of decentralized finance, as many issues are common across different jurisdictions.

Key Quotes

1. **Takaya (JFSA):** “Maybe let’s say application layer will be subject to regulations and they need to be compliant to some regulations in terms of MLCFT, but if that application layer only connects with the DeFi protocols that are compliant to whitelisted stuff, maybe that application will be exempt from the regulations.”
2. **Yuta (JFSA):** “The problem is what it means by unidentifiable. Under what conditions they cannot be identified? That is relevant to decentralization.”
3. **Technical Expert:** “I think for the regulators here, one thing to really consider is maybe placing the issuance responsibility onto market makers because in the end, new token issuance will only ever exist because they can have people who can buy and sell that token.”

Next Steps

1. **JFSA Round Table Discussions:** The JFSA will continue its round table discussions with industry experts to refine regulatory approaches for DeFi.
2. **Technical Working Groups:** Form technical working groups to develop and implement robust technical controls and risk mitigation strategies.
3. **Regulatory Guidelines for Launchpads:** Develop guidelines for launchpads to ensure they comply with regulatory requirements and support the successful issuance of tokens.
4. **International Collaboration:** Engage in international forums and collaborations to share best practices and address common challenges in regulating decentralized finance.
5. **Regulation of DeFi Protocols**
 - The JFSA will continue its research into regulating DeFi protocols, focusing on technical measures and regulatory compliance.
 - There is a suggestion that application layers connecting to compliant DeFi protocols may be exempt from certain regulations (Takaya, JFSA).
6. **Collaboration Between Technical Experts and Regulators**
 - Technical experts from various blockchain projects should collaborate with regulators to develop robust technical controls and risk mitigation strategies.
 - This collaboration is crucial for ensuring that regulatory measures are practical and effective.
7. **Role of Launchpads in Token Issuance**

- Regulators are encouraged to consider the role of launchpads in token issuance and explore ways to ensure these platforms comply with regulatory requirements.
- There is a proposal to place issuance responsibility on market makers, as new tokens can only exist if there are buyers and sellers (Technical Expert).

8. **Global Collaboration**

- Global collaboration is essential to address the challenges of decentralized finance, as many issues are common across different jurisdictions.
- Engaging in international forums and collaborations will help share best practices and address common regulatory challenges.

9. **Decentralization and Identifiability**

- The concept of decentralization and its implications for identifiability were discussed (Yuta, JFSA).
- There is a need to clarify the conditions under which entities or users can be considered unidentifiable in decentralized systems.

10. **Next Steps and Ongoing Initiatives**

- The JFSA will continue its round table discussions with industry experts to refine regulatory approaches for DeFi.
- Technical working groups will be formed to develop and implement robust technical controls and risk mitigation strategies.
- Guidelines for launchpads will be developed to ensure compliance with regulatory requirements and support successful token issuance.
- International collaboration efforts will be intensified to share best practices and address common challenges in regulating decentralized finance.

Appendix: Full Meeting Transcript (Anonymized)

0.0 --> 5.4: What regulatory objective are we trying to achieve?

6.2 --> 10.0: How is that affected by the degree of centralization and decentralization?

10.8 --> 14.2: As you pointed out, it's really the search for an accountable party.

15.6 --> 18.7: I think that's where you're going, so I'll shut up.

19.7 --> 21.8: No, you're definitely on the cusp of it right now.

22.3 --> 25.8: This is from the Edinburgh Decentralized Index, right?

25.8 --> 30.8: And they split up decentralization or the different layer

s in decentralization into

30.8 --> 31.8: these six levels.

33.0 --> 36.0: Consensus, so these are the block producers actually submitting to the network.

37.5 --> 41.6: Tokenomics, it's a super simplified way to look at it, but just the ownership.

42.3 --> 45.3: However, there's all the elements that we have to think about, which is like the genesis

45.3 --> 52.5: of the tokens, allocation of the tokens, emissions of the tokens, different blockchain

52.5 --> 54.8: dApps and protocols have different means of emissions.

55.0 --> 58.9: For instance, like BitTensor through to Aether have different means of their emissions.

59.3 --> 63.3: Equally, our friends over here also have different means of emissions through your

63.3 --> 64.1: retina?

65.5 --> 67.0: Yeah, iris, iris, exactly.

67.2 --> 67.8: Different ways to mint.

68.6 --> 70.4: In any case, we go down the list, right?

70.4 --> 71.4: We have network, right?

71.5 --> 74.1: How and who is actually doing full node implementations?

74.2 --> 75.6: Who's doing archive node implementations?

75.7 --> 77.0: Who's actually accessing those?

77.3 --> 78.8: The software, who develops it?

78.9 --> 79.8: Who upgrades it?

79.8 --> 83.3: Who manages those who actually access it, right?

83.9 --> 85.9: Geography, where are they split around the world?

86.7 --> 91.3: Because we've seen this as an issue with AWS in the west coast a couple of years ago

91.3 --> 91.9: from memory.

92.4 --> 96.0: And then equally, governance, which is probably the more harder one to look at because governance

96.0 --> 97.3: is so finicky.

97.6 --> 101.9: Small changes can mean everything, but we have also seen Gini coefficients within the

101.9 --> 106.3: industry as a good benchmark to determine the level of political pool.

106.9 --> 110.9: I know chain analysis is an amazing paper in this state of crypto paper every year.

111.6 --> 113.5: But equally, is the participation plural and diverse?

115.0 --> 117.0: So again, these are some of the questions we're thinking about.

117.3 --> 121.8: So for the regulators in this room, and for those who don't know, the GFSA is extremely

121.8 --> 125.4: interested to understand how to classify different assets, and it has been one of the

125.4 --> 127.6: main topics of discussion during our working group meet

ings.

128.4 --> 132.7: And what this framework I present is primarily, and this is based off the Edinburgh

133.2 --> 139.1: decentralized index, is to really consider not one element, but this multidimensional

139.7 --> 142.8: elements and attributions to how one could change.

143.3 --> 147.7: Let's say, for instance, a block production is completely decentralized.

148.8 --> 154.4: There is, let's say, 10, 20 different providers across three or four different jurisdictions.

154.8 --> 155.7: It looks pretty good.

155.7 --> 157.2: It's decentralized in a good trend.

157.4 --> 162.5: They're incentivizing more people to come on to decentralizing and adding more nodes

162.5 --> 163.2: to node sponsorship.

167.5 --> 168.5: Yep, thank you.

170.7 --> 174.3: So we have a situation where there's 20 different node operators across three or four

174.3 --> 176.6: different jurisdictions, and it's looking quite decentralized.

177.3 --> 183.2: However, those people are only funneling and making emissions that go towards, let's

183.2 --> 186.7: say, 10% of the total tokenomics, total value of all the assets.

187.3 --> 191.3: So now it's not really that decentralized anymore, because you can see that although

191.3 --> 195.6: they're producing blocks and they're submitting and they're receiving rewards, the individuals

195.6 --> 198.0: that own the most in the governance tokens are actually making decisions.

198.9 --> 204.2: So at every single point in time, as a regulator, and for those who are here, I know people

204.2 --> 210.0: who are working on the eJPY, who are working in the current markets and financial markets

210.0 --> 216.4: within Japan, you really need to be considering every single element of that stack on every

216.4 --> 219.5: single token to really give it a good picture.

220.1 --> 224.2: Or you're going to either limit too many players or allow too many players to enter

224.2 --> 229.8: into the market, and that may lead to the idea of only going off and regulating a certain

229.8 --> 230.9: few sets.

231.9 --> 237.3: So this is the easiest test, and we discussed this during Block 13, but it's as simple

237.3 --> 238.0: as this, right?

239.1 --> 246.7: If the whole entire team were to walk away, is it possible for development, governance,

247.5 --> 253.2: even function and operational use of the DApp or protocol, is it still possible?

254.4 --> 258.2: If for some reason the whole entire team collapses, you can't say it's completely

258.2 --> 260.0: decentralized, because that's not the answer.

260.4 --> 262.7: But you could say that there is risk.

264.8 --> 269.3: A good test for this would be the Aave team.

269.5 --> 274.2: I do like to point out Aave, because Aave is one of the strongest governance systems

274.2 --> 275.1: in the world.

275.1 --> 281.3: But the governance is put on by the users, where they incentivize the very early genesis

281.3 --> 285.9: of their protocol, where you would receive rewards to incentivize early ownership of

285.9 --> 287.2: this token to go after.

287.5 --> 289.6: Just in the case, they walk away.

290.2 --> 294.8: And now for new blockchains, it's more difficult than ever to be decentralized.

295.3 --> 296.7: It's more expensive than ever, right?

296.9 --> 297.9: It's harder to set it up.

298.0 --> 299.0: It's harder to pay for it.

299.1 --> 302.8: And equally, it's hard to incentivize people who are already having so many amazing rewards

302.8 --> 304.5: from highly liquid assets.

306.4 --> 311.6: So even more so, it probably makes more sense to go after and work with the chains and the

311.6 --> 314.2: tokens that are of a certain age and maturity.

315.8 --> 318.4: So these are some of the vectors you could be thinking about.

318.8 --> 322.0: Who has the ability to upgrade the protocol?

322.6 --> 327.4: Another element to this is who has the ability to change and upgrade the smart contract for

327.4 --> 328.3: a token, for instance.

328.9 --> 334.0: For AML teams, that would be obviously the more interesting element, because if you

334.0 --> 339.2: can just change and move the currency to any other wallet without any markers of it,

339.5 --> 343.5: we could upgrade it to being, I don't know, anonymous to a degree, depending on what

343.5 --> 344.7: kind of framework it uses.

345.4 --> 347.3: You could have some serious problems down the line.

347.9 --> 348.8: So who can send?

348.9 --> 350.1: Who controls where it's sent to?

351.9 --> 355.7: One also other thing we're working on, because I'm doing a lot more contribution with RPC

355.7 --> 359.7: today, with Lava Network, which is a decentralized RPC node provider.

360.2 --> 364.8: We've also found that a lot of teams and now a lot of blockchain foundations are now paying
364.8 --> 370.5: for decentralized RPC nodes, like Pocket Network, Lava Network, to be able to diversify
370.5 --> 374.7: their ability to provide RPC based on geography and other elements.
375.4 --> 378.1: And even this doesn't even come towards this entire stack.
378.5 --> 382.5: But in any case, it's part of the ecosystem that ensures the future of it.
384.5 --> 385.8: So here's some metrics.
385.9 --> 387.3: I'll go into more metrics in a second.
388.7 --> 394.7: But essentially, it's really critical that we understand each part of these in their
394.7 --> 401.2: own right, because you can apply Nakamoto coefficient to any one of these layers in
401.2 --> 401.7: the stack.
401.8 --> 405.9: And the Edinburgh Decentralization Index is a great example of that.
406.1 --> 409.4: And if I can have a moment after I finish the presentation, I'll go through the website
409.4 --> 411.1: to show everybody a little bit more how that works.
411.8 --> 413.5: Because I know it was very helpful for myself.
414.4 --> 416.4: But again, here are some quantitative metrics.
416.9 --> 420.5: This is I'm just pulling together just to make sure everyone has a good understanding
420.5 --> 421.0: about it.
421.6 --> 425.5: There was an amazing organization and DAP a couple years ago called the
429.9 --> 431.6: Dowithit, or Dow it Right.
432.1 --> 435.1: It's no longer active anymore, but it was actually like three or four years ago.
435.2 --> 438.9: And it measured the Gini coefficient of different tokens.
439.6 --> 445.9: And what you realize is that the most inequality in an unequal country in the world right now
445.9 --> 449.4: is South Africa with a Gini coefficient of 0.63 or so.
450.2 --> 454.2: And there was Lido with 85.
455.6 --> 459.4: We're talking about decentralization, but we can't get the distribution of wealth correct.
460.0 --> 463.6: It's a bit of a joke, you know, decentralized autonomous organizations, nothing is
463.6 --> 466.5: decentralized about them, nothing's autonomous, and it's not really organized whatsoever.
467.0 --> 468.4: But they exist nonetheless.
469.1 --> 475.0: I do feel like if you are a regulator, you should be thinking about the Gini coefficient

475.0 --> 478.0: as a really important metric to understand.
478.4 --> 481.7: Purely because if you're thinking about it becoming regulated, then you have to think
481.7 --> 482.9: about market makers and liquidity.
483.2 --> 486.0: And market makers and liquidity, we're thinking about who owns the liquidity.
486.7 --> 490.9: And then if you see 80% of it's owned by a few entities, then you probably want to be
491.8 --> 494.5: a little bit harder on that or equally completely abstract away.
497.4 --> 499.4: So this is an example for each of these.
501.4 --> 502.8: These numbers are off, please.
502.8 --> 508.9: But essentially, you can see that with node count of Bitcoin seems super amazing.
509.6 --> 513.2: But they're delegated to specific mining pools, for instance.
514.2 --> 518.9: Ethereum has more than 5,000, it's like 38,000 or whatnot, right?
519.3 --> 520.6: At least that's a little bit out of date.
521.0 --> 524.5: But they do have governance, but it's off chain and has EIPs.
524.8 --> 526.0: It does work for now.
526.2 --> 529.7: But as well, we are seeing Ethereum doing a pretty large push in the enterprise sector
529.7 --> 530.7: and the founder sector.
531.3 --> 536.5: I think they've hired 64, 65 people in the last eight months, eight, nine months.
537.1 --> 540.8: And those were to go after enterprise and product-based engagements.
542.0 --> 543.5: Again, similarly, Solana.
543.8 --> 547.1: This is just to give you some skills to see how this works over time.
548.5 --> 550.7: This is from the Edinburgh Decentralized Index.
550.9 --> 557.8: This is to give you a good example about where it believes the control of nodes throughout
557.8 --> 559.3: different protocols.
559.3 --> 563.1: Had a pretty crazy radical transformation a couple years ago.
563.6 --> 565.9: And then it comes across all the statistics, too.
568.0 --> 568.7: Moving along.
568.7 --> 569.6: Any questions so far?
571.5 --> 571.9: Please.
574.3 --> 574.8: No?
575.0 --> 575.3: Okay.
575.4 --> 576.0: We'll keep going then.
578.1 --> 582.3: An example, like, again, you have different application layers and settlement layers and

582.3 --> 582.5: whatnot.
582.7 --> 586.2: If something is compromised at any single point in time, well, then they're completely
586.2 --> 586.6: compromised.
586.6 --> 592.5: We're now seeing the move towards these digital islands where we are working on multiple
592.5 --> 594.1: chains at once using MPC.
594.8 --> 599.8: And that's been super awesome for the user and for the organizations.
600.2 --> 604.6: But for regulators, it becomes a little more difficult because now you have ownership is
604.6 --> 607.4: technically split based on different blockchains.
607.4 --> 610.0: And they haven't really understood yet that private keys are what's behind that.
610.3 --> 613.7: But they just see that there's money on one blockchain and on another blockchain.
614.0 --> 616.5: And they don't understand there's a connection through the MPC.
620.0 --> 624.0: So, accounting to dynamic events, there's lots that could happen.
625.0 --> 628.2: Androgynously or exogenously.
630.6 --> 635.9: But let's say, for instance, who decides the deployment of the protocol?
636.8 --> 639.6: That could happen between three or four people in a closed room.
640.4 --> 641.4: But should that be decentralized?
642.3 --> 643.7: It, again, gets muddled up.
644.3 --> 646.1: Again, I'm going through everything that's very important to understand.
647.2 --> 650.5: But down the road, how are they making sure they're decentralizing?
651.0 --> 652.9: You know, we have four key concepts.
653.2 --> 655.3: We have decentralized and centralized.
655.9 --> 657.8: We have decentralizing and centralizing.
658.7 --> 664.4: Centralizing is when something is moving away from the way it was moving closer to one over time.
664.9 --> 670.7: Whereas, decentralizing is moving away from one, but in the direction greater than where
670.7 --> 671.4: it was previously.
672.1 --> 675.6: And I think it's really important as we kind of build these frameworks more and more.
675.6 --> 677.5: And I hope, again, we do more work around this.
678.0 --> 679.5: I know that it definitely needs to be out there.
680.2 --> 685.0: That we need to have benchmarks where it's like node count should be greater than this.
685.5 --> 686.8: Tokenomics should be greater than that.
687.1 --> 688.6: And be a bit arbitrary about it.

689.0 --> 695.4: Because without that, the market is too much of the wild west to be able to say, hey, this
695.4 --> 696.0: is enough for me.
696.1 --> 697.5: This is decentralized enough, right?
697.7 --> 701.8: Because I think over time, they should be either more decentralized, more centralizing,
701.8 --> 703.1: but being very clear about their intentions.
706.6 --> 708.5: Yeah, landscape, we know this stuff.
709.3 --> 711.5: Obviously, the future is pretty amazing.
712.1 --> 716.5: But as we get more user data on chain, and equally, AI agents start to play a larger
716.5 --> 721.1: role into this, there is more conversations around what decentralized agents look like,
721.2 --> 726.9: who upgrades those, equally, if it's played inside the governance stack.
727.3 --> 730.2: Who's the one that's managing the governance behind the AI agent?
730.5 --> 731.6: It starts to get a little muddled.
731.7 --> 733.0: We are running people in that right now.
733.0 --> 739.2: But again, over time, it does get more complicated when AI agents and complex tools start to
739.2 --> 739.9: get integrated.
742.3 --> 745.8: Same kind of similar points we had from last block, but even better, because we have new
745.8 --> 746.4: points today.
747.9 --> 749.0: That's all for right now.
749.2 --> 751.7: Please, questions, comments, I can go to any point in the slides.
751.8 --> 755.1: I just wanted to run this really quickly, because I wanted the conversation to be the
755.1 --> 757.6: most important part of the workshop.
757.9 --> 759.8: Less than me just talking at you.
760.3 --> 767.0: So, anyone have any questions, any thoughts around decentralization, when it comes to
767.0 --> 768.0: regulators as well?
768.1 --> 768.8: Do we want more?
768.9 --> 769.6: Do we want less?
769.9 --> 770.9: How does that work?
771.4 --> 773.1: Are there other vectors we haven't considered?
774.1 --> 776.8: Is there anything here that I've written that is completely wrong?
778.6 --> 779.6: Carol, microphone.
784.4 --> 785.6: Not wrong, it's awesome.
786.0 --> 787.0: So, fantastic.
787.2 --> 789.1: Thank you so much for putting all of that together.
790.3 --> 792.2: Because this is the core issue.
793.0 --> 799.8: When I chaired the CFTC's Tech Advisory Committee, we d

id a big report on DeFi and this problem

799.8 --> 807.8: where industry wants the line of clarity of like, once I'm this decentralized, then I'm

807.8 --> 813.7: not an unincorporated organization or something that the government would want to wrap their

813.7 --> 817.8: arms around, or could be held liable in civil litigation, et cetera.

817.8 --> 822.3: So, industry viewed that as the line of clarity, and regulators tend to view it as the line

822.3 --> 823.3: of arbitrage, right?

823.9 --> 824.9: So, this issue.

825.0 --> 831.0: And you highlighted the dynamism and the complexity of trying to assess that.

831.2 --> 836.7: But also, some really cool models that have been trying to help crack this nut.

837.5 --> 842.5: So, I really appreciate that, you going through all of it.

842.5 --> 844.1: One thing I wanted to...

844.1 --> 851.8: I know that you walked through the risks of centralization by stack, and this may not

851.8 --> 853.2: be right to include here.

853.4 --> 855.8: I don't know if you feel like it would be rightful, but like...

857.8 --> 864.3: Yeah, like, do you feel like that it would be at least important for us to think about

864.3 --> 868.1: what the risks are from both centralization and decentralization?

868.6 --> 873.8: There's a lot of goodness with resilience on the inability to take something down or

873.8 --> 874.6: to censor something.

875.1 --> 879.1: That also is a huge problem with asset recovery, like when people make mistakes.

880.0 --> 883.5: Which I realize that many in crypto view that as a feature, not a bug.

883.7 --> 886.8: A lot of people getting defrauded view that as definitely a bug, right?

887.3 --> 890.9: And just in an inability to recover assets when you've lost the key.

891.9 --> 896.2: There are risks with decentralization also that come up.

896.2 --> 900.7: So, thinking about that, because I've long wondered and understanding that government

900.7 --> 903.3: would have a different point on the spectrum than industry would.

903.6 --> 906.7: But what an optimal level of decentralization is.

907.2 --> 910.3: Many people feel that the answer is as decentralized as it can possibly be.

910.9 --> 913.9: But not everyone would feel that way.

914.8 --> 916.2: And so, I think that'd be...

916.2 --> 917.5: It's an interesting concept.

917.7 --> 918.9: I don't think we have to define that.

919.0 --> 924.4: It's more me just noting that this is something that was part of debate and we had thought

924.4 --> 929.0: about, I think we referenced it lightly in our report, just that that's something that

929.0 --> 931.1: could be assessed or looked to.

931.8 --> 938.0: One of the other things that we got into that I just wanted to note that adds another

938.0 --> 945.0: layer of complexity, even at each layer of the stack, at each layer of this stack, we

945.0 --> 951.1: at least defined that there were dimensions even inside of each of those layers, which

951.1 --> 952.1: I know you hinted to, right?

952.1 --> 958.2: For us, we attempted to come up with a way to think about it as functional and technological

958.2 --> 963.9: dimensions, and that each of those also has a spectrum of decentralization inside of it.

964.0 --> 971.1: So, basically, inside of each layer, you have 12 axes, at least, of decentralization and

971.1 --> 974.5: why it's so hard for regulators to try to come up with this line.

975.6 --> 979.0: But I appreciate all the different areas and factors.

979.5 --> 986.1: I'm curious for us to think about how comprehensive those factors account for all those different

986.1 --> 990.7: vectors, but it's a really, it's a fantastic starting point on mapping those comprehensive

990.7 --> 991.8: areas to think about.

992.3 --> 997.4: So, just, like, plus one to all your great work and highlighting how complex this was

997.4 --> 998.8: for us when we were doing this.

999.0 --> 1000.4: You're a legend, okay, thank you.

1001.4 --> 1002.5: Yeah, it's a great point.

1002.7 --> 1004.0: Like, there's a few points I picked up right then.

1004.4 --> 1008.5: One point is around, we're talking a lot about decentralization, but we should also talk

1008.5 --> 1012.5: about centralization, because if, in the case, the regulator wants me to centralize,

1012.6 --> 1013.2: what does it look like?

1013.5 --> 1016.4: I'm kind of painting a picture more around decentralization.

1017.3 --> 1021.5: And then, equally, on the inside of these, what other, it's more like activities in

1021.5 --> 1021.8: the end.

1022.2 --> 1026.4: Like, oh, you're going to create your blockchain, have you considered 20 other opinions?

1026.7 --> 1028.9: That's an activity in a way, but is that decentralize
d enough?

1029.3 --> 1030.2: It's hard to say.

1031.7 --> 1035.3: I know you did a lot of work, I remember reading the
paper and how you filled it out,

1035.3 --> 1037.0: but it was meant to be very practical.

1037.0 --> 1041.9: This is meant to be more like heuristics and whatnot,
but the practical nature is very

1041.9 --> 1049.7: important, because in the end, the industry needs to
have a safe harbor, or at least where

1049.7 --> 1051.5: they're not allowed to go to, right?

1052.6 --> 1054.9: But centralization is something that should be added
to this.

1055.8 --> 1060.6: Let's say, for instance, consensus, we have seen, I d
on't know how many organizations

1060.6 --> 1065.2: that do private blockchains, but that's the preferred
drug of choice for a lot of large

1065.2 --> 1068.5: institutions who are working with governments, where
they would say like, hey, you can validate

1068.5 --> 1071.3: transactions, but you've got to do it yourself.

1071.6 --> 1072.6: And they love that.

1074.4 --> 1077.9: But maybe they wouldn't mind having decentralization,
what that would look like.

1079.0 --> 1083.6: Equally for the software, the software to a degree sh
ould be open source, but then again,

1083.6 --> 1090.2: we've seen in the last few weeks with open source AI,
where there's been AI slop, there's

1090.2 --> 1091.6: been pull requests everywhere.

1091.6 --> 1096.4: So then how do you, is it, let's say, for instance, I
thought to nominate who was a

1096.4 --> 1099.0: contributor, is that now do decentralized or centrali
zed?

1099.8 --> 1103.2: It's hard to say, but I think it's the movement is re
ally important over time.

1103.8 --> 1110.1: And if that's what's important to a regulator that sa
ys, hey, I want you to move toward

1110.1 --> 1115.7: a more centralized market, then the people in the gov
ernance within the team or the governance

1115.7 --> 1117.9: within the project can vote with their feet and their
tokens.

1118.4 --> 1120.6: We want to move close to that or further away from th
at.

1120.6 --> 1122.2: But I really appreciate that point.

1122.3 --> 1125.2: And you're right, there should be more of a conversat
ion around full regulators.

1125.8 --> 1128.7: Greg, what does the centralized model look like if yo
u so desire?

1130.7 --> 1133.1: Comments, questions, concerns, heckles.
1134.5 --> 1141.1: At the risk of stating the obvious, the reason we care about this is because there's a
1141.1 --> 1146.2: transition when something goes from one regulatory state to another.
1146.2 --> 1151.5: So in other words, the question we want to be asking is, okay, under what conditions
1151.5 --> 1155.7: do we want to change the regulatory state and how would we measure that?
1156.1 --> 1159.6: And that gets to what Carol was saying about the cost versus the benefits here.
1161.0 --> 1169.0: So the notion is, aha, if something is centralized, we have accountability, people we can go
1169.0 --> 1171.7: after if they're committing fraud or theft or whatever.
1172.1 --> 1175.6: If it's decentralized, hmm, okay.
1177.3 --> 1178.9: Then what do we do?
1179.2 --> 1182.9: Well, it's a question of what kind of regulatory objectives are we trying to achieve?
1183.8 --> 1190.3: So thinking of it as a transition state might be another way to think about it.
1191.5 --> 1197.7: So from your opinion, Jim, I'd love to get your thoughts on how a, let's say a decentralized
1200.6 --> 1205.0: project is going to come under the eyes of a regulator.
1205.4 --> 1209.8: What kind of things should they be considering and thinking about before, let's say, making
1209.8 --> 1214.7: an application to it or starting to apply and move in to that new classification?
1223.0 --> 1227.2: At the risk of sounding oversimplified soundbites here.
1228.5 --> 1232.6: Cost versus benefits are basically the risks of one thing or another.
1233.9 --> 1242.1: So I can think of concentration of ownership, concentration of control, as you mentioned,
1242.6 --> 1246.1: what would happen if the developing team walked away?
1250.1 --> 1255.7: But again, thinking about what's the regulatory harm that we're trying to solve here?
1256.3 --> 1262.4: I think I can think of a couple of examples, you know, at the capital raising stage,
1262.7 --> 1264.9: obviously fraud and theft.
1265.5 --> 1270.1: You know, what if they put something out and then steal all the tokens?
1271.7 --> 1277.3: But once something is operational, then we need to worry about things like market manipulation,
1277.7 --> 1279.5: insider trading, trade surveillance.
1280.2 --> 1289.1: That if we really did have a fully autonomous trading

network that was just running all by

1289.1 --> 1299.2: itself and the regulator has some issues about price manipulation or wants a different surveillance,

1301.2 --> 1302.3: how would they do that?

1303.1 --> 1305.5: So those are a few of the issues.

1306.7 --> 1307.2: Absolutely.

1307.5 --> 1308.1: Thanks for that.

1309.6 --> 1311.3: Any questions from the audience?

1311.5 --> 1314.8: Anything to contribute around decentralization versus centralization?

1315.1 --> 1318.3: Any other quantitatives we should be thinking about as an industry?

1318.9 --> 1323.5: Again, this is being regularly discussed with the JFS A and they're looking to make

1323.5 --> 1328.7: decisions around policy, around classification of assets this year, if I'm correct.

1329.7 --> 1333.0: So if there's any contributions anyone would like to make, because this will be made into a report.

1334.2 --> 1335.8: Or do you have a question?

1337.5 --> 1338.0: Please.

1339.5 --> 1346.8: I'm not very good at English, so I might not be considering the context of the surrounding

1346.8 --> 1347.3: conversation.

1347.7 --> 1352.1: But I'd like to point out one case we needed to consider.

1353.1 --> 1365.1: This is the case where a technically decentralized token is designed as usable as payment for

1365.1 --> 1366.8: service provision.

1366.8 --> 1367.6: Okay.

1367.9 --> 1377.7: If the service provider declares tomorrow that we will start using a new token or new chain

1378.8 --> 1391.7: and all the token's value becomes worthless, a token representing utility for a specific

1391.7 --> 1400.3: entity cannot be considered decentralized unless the counterpart is a decentralized

1400.3 --> 1409.3: smart contract that cannot centrally alter the token used for accessing the utility.

1410.5 --> 1412.9: So the question is, and correct me if I'm wrong.

1413.4 --> 1418.1: The question is, if in the case there's a decentralized token, but then it moves to a

1418.1 --> 1427.7: blockchain, like migrates over there, and that the reserve asset calls in the question,

1429.1 --> 1436.4: then you could say that the decision that made it move to that new chain is not decentralized.

1436.8 --> 1442.8: Therefore, the token is not decentralized anymore because some people have made a decision about it.

1444.4 --> 1447.2: So I had a situation like this at Near.

1447.6 --> 1457.9: We moved human protocol from Ethereum to new protocol and we migrated the entire tech stack,
1458.0 --> 1462.4: the entire token movement, all the holders, everything, right.
1463.3 --> 1469.8: And the decision was, the outcome was decentralized.
1470.1 --> 1472.6: We had like 8,000 of each quorum in the end.
1472.6 --> 1475.6: We had 8,000 people that agreed to the movement.
1477.3 --> 1482.2: But I can tell you, because I was on the team and I managed the Near's representation
1483.0 --> 1491.9: and the negotiation on the token, that it was a matter of six people that determined that this
1491.9 --> 1492.7: proposal should be issued.
1493.3 --> 1497.0: And then people spoke to the market, the community, and they moved it.
1497.7 --> 1500.5: So technically it followed by decentralized principles.
1500.5 --> 1504.5: It reached quorum, you do the migration, the tech team works on it.
1506.6 --> 1511.0: But I won't say behind closed doors, you know that the competition started, but there was a
1511.0 --> 1515.5: few people that were involved with the discussion around how it would work before it came to the
1515.5 --> 1515.9: community.
1516.7 --> 1521.4: So it's hard to say, but I think that as well from the technical limitations that you were
1521.4 --> 1527.5: mentioning around like liquidity and the reserve of the asset, it's less of a problem now because
1527.5 --> 1531.6: there's really amazing MPC solutions out there that allow you to hold essentially the same
1531.6 --> 1533.0: value across different chains.
1533.4 --> 1538.3: But then again, you could have like a single point of failure risk with like private key
1538.3 --> 1538.6: ownership.
1540.3 --> 1544.9: But again, it's like there's so many dimensions to it and it keeps going further.
1545.5 --> 1550.0: And I think that one thing that would be helpful is where's the limitation for these regulators
1550.0 --> 1553.4: to say like, hey, I've looked at enough things to say it's decentralized enough and all.
1553.7 --> 1554.8: But thank you for your question.
1555.6 --> 1556.2: Difficult answer.
1557.8 --> 1559.0: Nate, go for it.
1562.9 --> 1565.3: Yeah, I wanted to talk about tokenomics for a minute.
1565.8 --> 1571.2: Seems like a pretty big element of this and catches a lot of public and-
1571.2 --> 1571.8: I'm sorry, who are you?
1571.8 --> 1572.4: What do you do?

1572.8 --> 1574.7: I haven't mentioned it to other people before, but-

1574.7 --> 1575.1: Sure.

1575.2 --> 1576.9: I'm the head of legal at World Foundation.

1577.4 --> 1582.4: World Foundation, of course, is the foundation stewarding the world protocol, where as you

1582.4 --> 1583.8: see here, we have an orb.

1584.2 --> 1589.7: We are able to give you a world ID, which is a proof of personal primitive based on

1589.7 --> 1595.9: an iris code, a code that gets developed through the uniqueness of your iris.

1596.1 --> 1602.0: And it's the most unique biometric method to identify a unique human versus all the

1602.0 --> 1603.2: other humans on the planet.

1605.4 --> 1605.8: OK.

1606.1 --> 1606.4: Yeah.

1606.5 --> 1611.1: So on the tokenomics topic, I think this catches a lot of attention, especially when it comes

1611.1 --> 1612.1: to fundraising, right?

1612.6 --> 1618.3: So what a regulator might be interested in, in terms of disclosures for projects somewhere

1618.3 --> 1622.1: along the spectrum of decentralization is what do the tokenomics look like?

1622.3 --> 1628.3: And Jim Angel, I raised a good point of market manipulation and insider trading, things that

1628.3 --> 1630.0: regulators will be very interested in monitoring.

1630.6 --> 1635.8: I think a good benefit here is that we're on chain in most of these ecosystems, right?

1635.8 --> 1641.4: You're able to see and develop analytics based on what's publicly available on chain.

1642.1 --> 1648.1: So I think a third party, an independent third party, like Dune Analytics, can come in and

1648.1 --> 1654.1: have dashboards that are centrally agreed, standardized across different protocols to

1654.1 --> 1659.4: show the token movements of a specific treasury, of the wallets that are associated with the

1659.4 --> 1663.1: founding team, of any major holders, right?

1663.1 --> 1668.5: This is a major benefit that we should utilize that's enabled by blockchain technology.

1669.2 --> 1673.3: And I think I'm curious if any regulators in the room or anyone's thinking about this

1673.3 --> 1679.6: from a perspective of when these disclosures are expected of centralized projects that

1679.6 --> 1685.2: are ultimately hoping to move to a decentralized end of the spectrum, is there some thinking

1685.2 --> 1690.4: of, OK, well, what can automatically be published, put into a digestible format, right?

1690.4 --> 1694.9: Is this something that's going to, you know, is this

how big of a piece of the puzzle is
1694.9 --> 1695.3: this?
1697.0 --> 1699.7: I'll say at one point, then I'll pause to anyone in the audience, but it's a great
1699.7 --> 1700.1: question.
1700.9 --> 1707.9: The question, if I'm kind of synthesizing it, is that when do we feel obligated to put
1707.9 --> 1708.5: out disclosures?
1709.1 --> 1711.5: And then equally, what information is put in the disclosures?
1712.1 --> 1714.9: And then as well, how do we prove disclosures?
1715.1 --> 1716.7: Is that more or less the same thing?
1717.6 --> 1718.7: Yeah, kind of.
1718.7 --> 1724.2: Yeah, ultimately, how you kind of offload the disclosure obligation once you're closer
1724.2 --> 1728.2: to being, you know, that this nirvana of decentralization.
1728.7 --> 1729.8: The nirvana of decentralization.
1730.1 --> 1730.4: I love that.
1730.6 --> 1732.6: We should have it as a session for Block15.
1734.9 --> 1743.6: So I think in a way the industry has self-regulated, ironically, and even the most decentralized
1743.6 --> 1746.9: still do this one thing that pretty much everyone in the industry does.
1747.8 --> 1748.6: White papers.
1749.4 --> 1756.3: I used to, as a job, was literally writing white papers and authoring and editing and
1756.3 --> 1759.7: reviewing and checking and looking at technical documentation and whatever else.
1759.8 --> 1763.9: And I can tell you right now, like, it is amazing to see this is one of the biggest
1763.9 --> 1766.1: things we've come out of a decentralized organization.
1766.4 --> 1769.5: It's the one gem, I can say, that you can point towards.
1770.1 --> 1776.6: Even the most sloppy KOLs will always tell you to look at the white paper.
1777.0 --> 1778.6: Now, how true is the white paper?
1778.9 --> 1779.6: That's another element.
1780.1 --> 1784.3: But I think to a degree, like, I don't think the industry, and I hope the industry never
1784.3 --> 1789.0: moves away from that because it is a way to talk to different audiences at different levels.
1790.2 --> 1793.1: And one of the things that I got to work on a few years ago was the delineation between
1793.1 --> 1794.4: three different types of white papers.
1795.0 --> 1800.0: Everything from a research white paper, which is like, well, you have theoretical research

1800.0 --> 1800.8: and then venture-based.
1801.7 --> 1806.2: Also, it was theoretical, a protocol, and then venture-based.
1806.9 --> 1810.9: I started to see that different players in the market would issue different types of
1810.9 --> 1811.4: white papers.
1812.1 --> 1817.3: A good example, this is the mail banking stack, which was posted onto Codano a couple
1817.3 --> 1818.6: of years ago, if I remember that correctly.
1819.3 --> 1822.0: And they had one of the best protocol white papers ever.
1822.4 --> 1825.5: And they went through tokenomics, went through the legal structure, they went through regulation,
1825.6 --> 1826.3: they went through everything.
1826.5 --> 1827.4: 80 pages long.
1827.6 --> 1828.0: It's amazing.
1828.2 --> 1829.9: But you can barely find a white paper anymore.
1831.2 --> 1835.0: But then a theoretical white paper could be like proof of reputation or time in history
1835.0 --> 1837.8: that Solana uses to inform their consensus mechanisms.
1838.9 --> 1843.0: And then the low-level, the venture ones are like your dApps that are issuing tokens.
1843.1 --> 1844.3: They want people to get involved.
1844.4 --> 1845.7: And they're generally not as heavy.
1846.1 --> 1849.7: But I think that at all different stages, it might be the most theoretical-based blockchain
1849.7 --> 1854.5: or dApps or decentralized applications or the protocols issuing the latest of AI innovation
1854.5 --> 1858.9: or the ventures that are a bit sloppy, but they have something to show you about who
1858.9 --> 1861.6: they are, they issue the same one.
1862.1 --> 1863.7: They issue white papers.
1864.5 --> 1866.2: And I think it's one of the biggest things we have.
1866.2 --> 1869.4: And I think that one thing I would love to see in the future, maybe in the beginning,
1869.5 --> 1875.5: could produce is the template for the best white paper based off the different type of
1875.5 --> 1876.4: organization you are.
1876.8 --> 1881.8: Because I think that we have now started to steer away from what is good information to
1881.8 --> 1882.9: include in that disclosure.
1883.3 --> 1890.0: Because if you're going to apply for some kind of relative oversight, you probably need
1890.0 --> 1890.9: to produce that at some point.
1892.1 --> 1893.7: Do you guys have a white paper?
1894.0 --> 1895.0: Just one comment on that.
1895.1 --> 1899.4: We do have a white paper, a very robust white paper t

hat's periodically updated as things

1899.4 --> 1904.2: change because things in your tokenomics and your treasury mechanics can change over time,

1904.3 --> 1904.5: right?

1904.5 --> 1905.8: The network continues to develop.

1906.6 --> 1910.3: I totally agree with you that it's really cool to see the industry, the crypto industry

1910.3 --> 1914.3: generally, develop this standard of releasing a white paper, right?

1914.4 --> 1916.5: There's no agreed standard of what it includes.

1916.6 --> 1918.5: And they come in different shapes and sizes.

1919.7 --> 1924.9: And a natural extension of that, of the white paper, should be transparency reports, right?

1925.0 --> 1926.9: Either updates or transparency reports.

1927.3 --> 1927.5: Absolutely.

1927.5 --> 1933.8: Otherwise, you really don't know if the white paper from a few years back holds true, right?

1933.9 --> 1939.5: But it is cool to see that a lot of projects in the crypto community have taken it upon

1939.5 --> 1947.5: themselves to self-regulate, to produce disclosures, to have a few projects, Ethereum, Arbitrum,

1947.5 --> 1951.2: have somewhat regularly produced these transparency reports.

1951.6 --> 1954.7: We often see they skip a year or two, then they come back to it.

1955.0 --> 1959.4: We kind of saw a few years ago that this is where the regulatory landscape was heading

1960.3 --> 1966.8: towards some sort of self-regulation or just the importance of disclosures were pretty

1966.8 --> 1967.9: early on recognized.

1968.5 --> 1972.8: I think that's definitely something that regulators can help push that the industry

1972.8 --> 1974.6: is actually looking for clarity on.

1975.1 --> 1980.7: Yeah, I hope if I had the toolbox of what I expect from every project that the government

1980.7 --> 1984.4: is looking to regulate is I hope the government is asking for white papers.

1984.9 --> 1989.3: And I hope that the regulators, and I'm talking to the regulators that are here in this room,

1989.6 --> 1995.0: that you do push these projects to have these because it not only helps the regulator,

1995.1 --> 1997.7: but it helps the industry and it helps the technical industry too.

1999.2 --> 2004.3: But yeah, that's my comment on how we kind of self-regulate a bit and we produce these

2004.7 --> 2005.1: disclosures.

2005.3 --> 2008.9: But I hope that the industry doesn't feel they can be

lax in the future.

2009.2 --> 2014.6: And I don't think that the more decentralized you are, the more, I guess, spinny hat you

2014.6 --> 2015.2: might become.

2015.6 --> 2018.4: So I guess over time, they'll probably still want to read through the technical documentation

2018.4 --> 2019.3: and white papers.

2019.5 --> 2021.2: So I don't see that going away anytime soon.

2021.9 --> 2027.0: But I do believe they should have some really clear, updated metrics, especially at a small

2027.0 --> 2029.7: contract level about how will the token be rolled out over time?

2029.8 --> 2031.5: Because you should be able to see that on chain.

2032.0 --> 2033.0: But that hasn't always been there.

2033.0 --> 2034.5: So I think that's one thing you can actually add.

2035.3 --> 2039.1: One really interesting thing to point out that we saw happening under Mike in the EU

2039.1 --> 2045.2: is that if a project didn't have its own white paper, the exchanges that list the project's

2045.2 --> 2049.0: asset are now under an obligation to produce a white paper for that project.

2050.0 --> 2050.1: Yeah.

2051.4 --> 2052.2: Well, there you go.

2052.4 --> 2053.2: Regulation in action.

2053.5 --> 2053.9: Thank you.

2055.4 --> 2055.8: Yep.

2056.2 --> 2056.8: Go for it, mate.

2057.2 --> 2057.8: Who are you?

2057.9 --> 2058.3: What do you do?

2058.9 --> 2060.1: Hey, my name is Dom Simon.

2060.1 --> 2064.1: I work alongside Mark on the legal team for World Foundation, head of APAC.

2064.7 --> 2066.4: Super interesting presentation.

2066.6 --> 2069.8: I think it really synthesizes this topic really well.

2070.4 --> 2077.1: As we've been talking, I've been thinking about maybe looking at beyond the token and

2077.1 --> 2080.1: beyond the token decentralization, centralization aspects.

2080.6 --> 2087.4: I'm kind of thinking about projects where centralization or decentralization of the

2087.4 --> 2092.0: overall ecosystem may really come into play on this kind of categorization question.

2092.8 --> 2097.9: So we see more and more now users interacting with projects without holding any tokens,

2098.0 --> 2099.1: without needing any tokens.

2099.8 --> 2106.3: And I also wonder where there might be situations where a token may be super centralized and

2106.3 --> 2113.6: the underlying ecosystem may be decentralized or vice versa, a token being very decentralized.

2113.6 --> 2118.1: But the ecosystem, the services that the ecosystem provides, the way that the users

2118.1 --> 2121.6: interact with the service, that aspect may be super decentralized.

2122.2 --> 2127.4: And I kind of wonder how much that aspect should play into how we think about the categorization.

2127.6 --> 2131.7: I was thinking about Uniswap, for instance, and I don't know too much about the UNI token.

2131.9 --> 2135.8: I imagine it's pretty similar to different centralized exchange tokens.

2135.9 --> 2140.6: I know I had a major airdrop, but I'm just thinking, you know, if the UNI token is more

2140.6 --> 2147.6: or less centralized on its way to decentralization, but the underlying service of Uniswap having

2147.6 --> 2152.2: access to DeFi exchange services, I think most of us would say that's pretty decentralized

2152.8 --> 2154.7: in our current understanding of it.

2155.2 --> 2161.2: So I just wonder how much this play between token decentralization and overall ecosystem

2161.2 --> 2161.9: plays.

2162.1 --> 2166.9: Because I also think, you know, for World, for instance, when we think about models of

2166.9 --> 2173.8: governance and whether we need our users to hold the underlying token that we work

2173.8 --> 2178.7: with, or whether we want governance to be more focused on maybe having a biometric credential

2178.7 --> 2180.1: or proof of personhood credential.

2181.1 --> 2185.8: So just kind of moving beyond token holdings and looking at the overall ecosystem and how

2185.8 --> 2187.1: that's centralized or decentralized.

2188.0 --> 2192.8: Yeah, I think in any case, no matter what, you have to be thinking about decentralization

2192.8 --> 2198.0: in a pyramid, where if the lowest level of the pyramid is really weak, it doesn't matter

2198.0 --> 2200.2: how the strongest levels above are.

2201.1 --> 2209.2: So if the consensus mechanism at its core is faulty, all the nodes are owned by one or

2209.2 --> 2212.4: two entities, and it makes it look like it's decentralized.

2212.9 --> 2216.3: I don't really care about what, I personally don't care about what's happening in the Dapp

2216.3 --> 2220.8: level, because I know if anything goes wrong there, the whole entire stack's going to fall

2220.8 --> 2221.1: over.

2221.7 --> 2227.5: So I believe that when you look at your stack, you're

looking at the core protocol itself,
2227.6 --> 2227.8: right?
2227.8 --> 2229.1: The network of nodes, right?
2229.2 --> 2231.0: The software of the nodes, right?
2231.2 --> 2235.1: I'm looking at the reward distribution incentive mechanisms, because to understand the behavior,
2235.2 --> 2236.1: understand the incentive.
2236.4 --> 2239.7: And then finally, I'm looking at the Dapp level and the software development level right
2239.7 --> 2239.9: there.
2240.0 --> 2241.8: And finally, the token level of those Dapps.
2242.5 --> 2248.4: Because if, OK, we have one project on like Near, for instance, and it collapses, projects
2248.4 --> 2249.3: collapse all the time.
2249.5 --> 2251.4: But if Near collapses, it doesn't matter.
2251.8 --> 2254.0: All of this will fall down in the end.
2257.0 --> 2259.7: Yeah, that's how I think more about it.
2259.8 --> 2265.0: And I think that for regulators themselves, it makes more sense to be looking at your
2268.3 --> 2275.3: blockchain token itself, like Bitcoin or Ether or ADA or something similar, because in the
2275.3 --> 2280.8: end, that's the incentive that it continues the healthiness and the hygiene of the fundamental
2281.4 --> 2281.8: protocol.
2283.2 --> 2286.3: Whereas, like, OK, should I regulate, I don't know, Paxos?
2286.5 --> 2287.9: Like, yeah, you know, makes sense.
2288.0 --> 2288.7: It's a good commodity.
2288.9 --> 2290.1: You know, it has some elements to it, right?
2291.0 --> 2294.4: But then the other thing that you're talking about is, OK, what if there was another dimension
2294.4 --> 2296.6: that was more reputation based?
2296.9 --> 2302.7: I mentioned this in my last talk that at IntegrifyNet and Near, I pushed together this idea for
2302.7 --> 2304.9: new signups to any one of our marketplaces.
2305.3 --> 2308.1: To be default AI.
2308.3 --> 2309.0: You're an AI.
2309.3 --> 2310.2: You can prove me otherwise.
2310.6 --> 2312.0: So you can prove me that you're not an AI.
2312.1 --> 2313.1: You're an AI, in my opinion, right?
2313.2 --> 2315.8: Because it's very easy to be an AI.
2315.9 --> 2316.7: It's very hard to be a human.
2317.0 --> 2322.4: But we shouldn't expect that the new bots or accounts being created are not the AI.
2322.9 --> 2327.7: But I do agree, like having some level of oversight and uniquely having a marker to prove that
2327.7 --> 2331.1: those individuals are of a certain entity type.

2331.3 --> 2332.9: But then again, how do you do that scale?
2332.9 --> 2336.9: And if you look at like, you know, 100 million new in dependent economic actors coming into
2336.9 --> 2340.3: the chain that are AI based, it becomes very complicated.
2340.8 --> 2342.8: So it's like it's difficult for a regulator.
2343.2 --> 2346.6: Speaking to regulators, it's very difficult for them to regulate the market because of
2346.6 --> 2347.5: who interacts with it.
2347.6 --> 2351.1: And the fact is 24-7 global market that can be sent to a public address.
2352.1 --> 2354.3: But you guys are doing a good work around that.
2355.0 --> 2361.4: Any questions, comments on the idea of regulation on identity and finance and whatnot?
2361.4 --> 2362.6: Complex market structures.
2365.8 --> 2366.9: Ken, do you have any comments?
2367.1 --> 2367.5: Oh, Carol.
2367.8 --> 2368.0: Okay.
2368.7 --> 2369.0: Yeah.
2369.0 --> 2369.2: Okay.
2369.2 --> 2369.7: Ken, you're up.
2369.8 --> 2370.4: Carol, you're next.
2373.6 --> 2376.0: Ken and I speak ad nauseam about market structure.
2378.8 --> 2379.9: I'm Ken Cutter.
2379.9 --> 2382.7: I'm a regular participant to the Begin Working Groups.
2383.9 --> 2387.1: It may be a very wild ball.
2387.1 --> 2396.2: But thinking about current situation that the regulators want to regulate the supply side.
2397.5 --> 2400.5: And let me make an analogy of the traditional
2401.4 --> 2405.0: transport services between the rails and the cars.
2406.0 --> 2407.7: On the rail, it is a service.
2408.1 --> 2415.7: So whatever happens to the users, railway service company is responsible for that.
2415.7 --> 2419.8: If it is a derail or it's a thunderstorm or whatever.
2421.0 --> 2429.7: But on cars, even though the car manufacturers and the road maintenance people,
2430.5 --> 2439.1: whatever, who provides the highest services, but it is the driver who is responsible for
2439.1 --> 2444.2: whatever happens to him or whatever happens to other people who might hit.
2446.5 --> 2457.0: And on the blockchain side, regulators want to regulate either the exchange company
2457.7 --> 2461.6: or the issuer if it is centralized.
2462.9 --> 2473.6: However, if you and the user want to deal with the blockchain directly, do we want to
2473.6 --> 2481.5: qualify the end user prior to dealing with the blockchain directly?

2482.7 --> 2489.9: Because since you have qualified or applying for the register yourself, like a driver's license,
2490.7 --> 2499.8: and whatever you kind of had an accident, it's you to absorb that responsibility.
2499.8 --> 2503.1: Because in the end, someone to be responsible.
2504.1 --> 2514.8: And if exchanges and the issuers, yes, certainly it's easy for them to find who's responsible for.
2515.6 --> 2527.6: But having learned from the Joyce analysis, it's very hard to identify someone to blame.
2528.6 --> 2536.3: So it may be the complete place that you have to be qualified in case of the traditional finance,
2536.8 --> 2541.4: you have to be very qualified investors who might take the kind of, let's say,
2541.4 --> 2543.7: invest in alternative assets.
2544.8 --> 2551.7: And in this case, it's not only the financial risk, but also cyber risk or something else.
2551.7 --> 2562.3: So I was wondering if it turns out to be ultimately at this point, I don't know,
2562.4 --> 2569.0: 10 years or 10, 20 years later, but at this point, you may have to qualify yourself
2569.0 --> 2573.3: and who's willing to take such a responsibility.
2574.5 --> 2580.7: And if anything happens, it's not the regulator to protect him or her.
2581.7 --> 2583.8: If he claimed by itself.
2584.1 --> 2586.3: But I don't know how to qualify.
2587.0 --> 2587.7: It's very difficult.
2588.2 --> 2598.2: It's very hard to identify what line items to check.
2599.4 --> 2607.1: But some organization or some entity or even several entities need to provide such things.
2607.1 --> 2615.4: If the ultimate end investors or end user want to deal with directly, if not,
2615.9 --> 2622.9: they can indirectly through the exchanges or some other providers to transact in.
2623.2 --> 2628.8: Like yourself, you have to be a human at least to deal with.
2629.2 --> 2636.5: Or you have to provide the assigned agent to work on behalf.
2639.4 --> 2642.4: I'll say one thing quickly.
2643.0 --> 2647.1: I think it's going to be about what the dApps you use in the end.
2647.5 --> 2650.5: A lot of industry, like if you're a foundation, you give me a grant, you have to KYC.
2651.1 --> 2653.2: So I think that these roads are made.
2653.7 --> 2657.7: But I think that's the shops you go to that the KYC or the other elements may come into.
2658.2 --> 2661.6: Because I think the technology is so far from what they can kind of control.

2662.2 --> 2662.4: My point.
2663.6 --> 2664.9: Carol, what's up?
2667.1 --> 2671.3: You framed up all those issues and so many sticky issues all so well.
2671.8 --> 2672.9: Is there another issue?
2673.2 --> 2673.5: Who are you?
2673.6 --> 2673.9: What do you do?
2674.1 --> 2677.0: Is there another agenda item that you guys want to hit on during this session?
2677.4 --> 2678.4: Or no, if not...
2678.4 --> 2679.8: No, we got 30 minutes right now.
2679.9 --> 2681.0: But tell everybody who are you?
2681.1 --> 2681.6: What do you do?
2681.8 --> 2682.3: What's your background?
2682.6 --> 2682.9: Oh, yeah.
2683.0 --> 2683.1: Sorry.
2683.7 --> 2686.8: So Carol House, like I mentioned, I used to chair the CFTC tech.
2687.1 --> 2691.8: But I also did several tours in the White House and at FinCEN,
2691.8 --> 2694.7: the US anti-money laundering regulator, where I led crypto policy,
2695.5 --> 2697.3: along with cyber and identity for years.
2698.5 --> 2703.7: So this core issue of identity and decentralization has been at the heart of
2703.7 --> 2705.7: so many debates for a long time.
2709.3 --> 2714.8: And you're speaking to the real issues, which is the tangible application of what happens
2715.5 --> 2718.9: with decentralization on, do you move the regulatory perimeter,
2719.7 --> 2724.7: including to the user, is one of the options of where to move it.
2726.4 --> 2731.4: You also bring up this one tension about qualified investors and accredited investors,
2731.4 --> 2735.2: that is a huge tension point already.
2735.4 --> 2741.0: And then what does applying those guardrails really look like in meaning?
2741.5 --> 2746.2: And can you do user-based regulation that doesn't require still some level of participation
2746.8 --> 2751.3: from the network layer, really, because they can all get access into the ecosystem?
2751.8 --> 2754.5: I know that there are some people in industry that have called for it.
2754.5 --> 2757.1: They just wanted to basically say, it's the Wild West.
2757.2 --> 2758.9: And if you deal with crypto, it's your problem.
2760.8 --> 2764.6: The biggest problem that I see there is that even if you adopt that kind of approach

2764.6 --> 2770.6: on investment, and I get it, the issue of qualified investor is a really tough issue,
2770.7 --> 2775.5: including it's one of the areas of conflict in progressive values because it's the,
2775.5 --> 2779.3: well, the government will tell you that only someone with this much to lose should be allowed
2779.3 --> 2781.6: to generate wealth this way.
2782.3 --> 2785.6: But then this is why a lot of people who aren't qualified investors have been using crypto,
2785.8 --> 2788.6: because what, only the wealthy should be able to get wealthier?
2788.8 --> 2795.0: This is my one way of trying to be able to break out of the permanent underclass or whatever,
2795.1 --> 2800.5: this concern that especially young people and marginalized populations find themselves in,
2800.6 --> 2802.9: and why crypto is so attractive.
2802.9 --> 2809.5: It's been, and it was a huge point of, a really problematic point because the progressives that
2809.5 --> 2814.3: really in the US that really don't like crypto, not understanding this tension,
2814.6 --> 2819.7: and it really points to issues like the qualified investor rule, which is something that I don't
2819.7 --> 2822.8: know if that's going to end up getting opened up or looked at.
2822.9 --> 2825.2: I think that opens up a whole different can of worms.
2825.7 --> 2828.4: If I can, there was actually the Deutsche Bank.
2828.6 --> 2831.6: I remember we actually invited them for a conversation in Croatia.
2831.6 --> 2838.2: We went to Croatia for Block 8 of Tenosming, and the Deutsche Bank was working on using
2838.2 --> 2845.7: Solban tokens as an accreditation of your- Existence?
2845.9 --> 2848.6: Yeah, existence and certification, and accreditation.
2849.1 --> 2854.6: Then that allowed them to install these credentials and then allow them to create the market.
2854.7 --> 2855.5: Because great, okay, cool.
2855.5 --> 2859.1: You have this amazing identity solution, but then you have no product to use it with.
2859.7 --> 2861.4: Then they went to go make the product too.
2861.4 --> 2865.3: It does exist, but I haven't seen it as a decentralized identity or whatever else.
2865.7 --> 2867.9: We use that scale on behalf, maybe BNB.
2868.1 --> 2874.2: BNB is decentralized, like a compound token could be the example, but just hawking on that.
2874.3 --> 2878.1: We're getting close to that because if you have a BAB token from Binance, that means
2878.1 --> 2879.3: you've had to go through KYC.
2879.9 --> 2885.8: That means technically build and build chain could be

chnically use your KYC proof in the
2885.8 --> 2890.9: right jurisdiction technically to be able to give you
a regulated service.
2891.4 --> 2893.1: But that's just a few points for that.
2893.2 --> 2893.6: Go on, keep going.
2893.8 --> 2894.4: You're on a great train.
2894.8 --> 2901.6: Yeah, I wanted a very quick aside on the disclosure t
hing because I think it's a great part of
2901.6 --> 2903.4: the regulatory perimeter that should be looked at.
2904.6 --> 2908.5: The research that I'm the most familiar with was Chri
s Brummer, also from Georgetown,
2908.9 --> 2914.0: just a different part of Georgetown, did publish an i
nitial framing of a potential architecture
2914.0 --> 2916.6: for what disclosure and DeFi could look like.
2916.6 --> 2922.7: He had some interesting proposals of thinking about d
isclosure NFTs and disclosure DALs
2922.7 --> 2924.4: and decentralized identities and things.
2925.2 --> 2930.7: I realized that doesn't change this on metrics of ass
essing how decentralized you are, just
2930.7 --> 2937.2: in the follow-on, like, okay, so what do we think abo
ut as things are certain levels of
2937.2 --> 2937.7: decentralized?
2938.4 --> 2944.8: What are the right regulatory obligations, including
if it's self-regulatory, but whatever?
2944.8 --> 2949.5: What are the right compliance or security features or
disclosure features that should
2949.5 --> 2950.0: exist?
2951.0 --> 2953.2: And who should be responsible for them?
2954.1 --> 2957.2: That's some interesting research that it would be int
eresting to kind of model that and look
2957.2 --> 2957.6: at it.
2958.9 --> 2960.2: I'll admit that I...
2960.2 --> 2964.2: Would you be okay if I shared some slides from the CF
TC tax report?
2964.5 --> 2965.3: Like, I just wanted to...
2965.3 --> 2966.2: Yeah, shoot me...
2966.2 --> 2967.2: You want to share screen or do you...
2967.2 --> 2968.1: I can share screen.
2968.1 --> 2968.8: Yeah, go for it, please.
2969.2 --> 2969.6: I just...
2969.6 --> 2972.8: Given some of the discussion about where to move the
regulatory perimeter, I thought it
2972.8 --> 2974.3: might be useful for...
2974.3 --> 2976.0: Bring a time to...
2976.8 --> 2977.6: Good luck, 31 minutes.
2978.2 --> 2979.1: Jim, how are you hanging in?
2980.1 --> 2981.1: I'm hanging in there.

2981.6 --> 2986.8: I just wanted to add a little sidebar on the accredited investor definition.

2987.9 --> 2993.3: These restrictions were put in not to protect investors, but to protect the issuers from

2993.3 --> 2996.1: the cost of full-blown registration.

2996.8 --> 3002.6: So when we think about, you know, levels of disclosure and accredited investors, I think

3002.6 --> 3008.5: really we should be thinking about fixing the regulatory costs to make them so reasonable

3008.5 --> 3014.6: that our issuers aren't scrambling for ways to avoid full registration.

3017.6 --> 3018.2: Fair.

3018.8 --> 3019.9: Well, that's the transcript.

3020.1 --> 3020.7: That's a good one.

3020.8 --> 3022.2: I will see that for the next documentation.

3023.1 --> 3025.1: Yeah, I won't go through all of this.

3025.2 --> 3031.1: This was the presentation that the CFTC tech advisory committee did when we did the DeFi

3031.1 --> 3031.6: report.

3031.6 --> 3036.4: I'm highlighting this slide just because it highlights, like, we had a really wide representation

3036.4 --> 3038.2: up here, including...

3038.2 --> 3044.8: We had better markets, like, the crypto skeptic of crypto skeptic organizations in the US,

3044.8 --> 3045.0: right?

3045.4 --> 3050.6: And we had, like, you know, we had crypto VCs, we had threat firms, like, lots of things.

3050.8 --> 3052.6: Like, so I just highlight, like, there was...

3052.6 --> 3056.7: Like, this was really good work with a lot of different organizations, and it'd be interesting

3056.7 --> 3059.5: to see if there was an opportunity to bring it into...

3060.9 --> 3063.6: To bring this into pieces of what Begin is doing.

3065.3 --> 3067.6: We don't need to get into all the key takeaways of the report.

3067.8 --> 3072.5: The stuff that I think is relevant to this especially is if you were thinking about different

3072.5 --> 3076.5: dimensions of, like, each of those stacks, like, this is how we had mapped.

3077.7 --> 3081.2: And I'm sure that there's more factors or vectors that we hadn't mapped here.

3081.3 --> 3083.8: But, like, in thinking about what the functional dimensions are.

3083.8 --> 3090.1: So even just at the software layer, if you think about things like access versus development

3090.1 --> 3095.3: versus governance versus, like, operating, like, who's deploying it and stuff.

3095.4 --> 3100.5: Like, the level of decentralization can look different

t in each of those boxes, even at
3100.5 --> 3101.2: each layer.
3101.7 --> 3104.4: And then technologically, that can also look very different.
3105.0 --> 3110.1: I know not all of these layers, not all of these vectors, each layer of the stack.
3110.1 --> 3115.3: But I just wanted to highlight that thinking about, like, decentralization as having multiple
3115.3 --> 3117.3: vectors, even inside of each layer.
3118.3 --> 3119.5: I know that that gets really complicated.
3119.8 --> 3120.0: I'm sorry?
3120.2 --> 3121.1: So did you consider the metrics?
3121.4 --> 3121.6: Yeah.
3121.8 --> 3122.2: These are amazing.
3122.3 --> 3124.8: But what metrics would you suggest for each of the dimensions?
3125.2 --> 3127.2: So we hadn't gotten to that point.
3127.3 --> 3131.3: But it could look, like, similar to a lot of yours that pointed to, like, numbers of participants
3131.3 --> 3136.8: or what it would take in order to, like, have control or to push, commit, and update, you
3136.8 --> 3139.9: know, like, for, you know, a smart contract or whatever.
3139.9 --> 3141.8: Those kinds of things would be right.
3141.9 --> 3144.3: We didn't get to the level of defining specific metrics.
3144.5 --> 3149.6: We were more trying to come up with just this framing of defining, like, what are the dimensions
3149.6 --> 3152.7: of DeFi, because we wanted to help regulators see that.
3153.1 --> 3159.3: This was our attempt to map the OSI stack, so, like, the IT tech stack, adapt it for
3159.3 --> 3161.2: crypto and digital assets.
3162.4 --> 3166.2: And what this was highlighting was, like, the fact that there's lots of different places
3166.2 --> 3170.1: to go, including on the right all the key players and components.
3170.7 --> 3174.9: The reason why that's important is that when regulators are thinking about where accountability
3175.5 --> 3179.9: or things like disclosures or other security features should exist, they're going to look
3179.9 --> 3184.9: at where the key players and components are and think about what that should look like.
3186.0 --> 3191.0: And I had mentioned this, like, spectrum of decentralization, centralized versus decentralized.
3191.3 --> 3194.7: Most of those layers, it's not a zero or a one, a yes or a no.

3194.7 --> 3196.6: You're somewhere in the middle.

3197.4 --> 3201.7: Regulators would view it as an arbitrage line, industry as a clarity line.

3202.8 --> 3207.8: We took that same mapping of the OSI stack and also highlighted different kinds of technical

3207.8 --> 3210.7: and compliance features that can exist at each level.

3211.1 --> 3215.4: Not because we think that every single one should have every single one of these compliance

3215.4 --> 3220.1: features, but more highlighting that, like, for each one, and it would be unique for each,

3220.9 --> 3223.8: for, like, every chain is different, every application is different.

3224.3 --> 3229.9: But that if you wanted to, if the risk wasn't fixed at the application layer, and we like

3229.9 --> 3231.0: application layer, right?

3231.1 --> 3232.6: Like, it's typically the closest to the consumer.

3232.8 --> 3234.5: They're the ones making all the money in most cases.

3234.7 --> 3237.0: Like, we like stuff existing there.

3237.1 --> 3238.6: That's where centralized exchanges sit.

3239.2 --> 3243.5: But if I can't figure out where to hold something accountable there, then we've got to figure

3243.5 --> 3247.5: out where else to go in the stack to try to find some level of accountability.

3247.5 --> 3253.6: To me, the most obvious places to go tend to be protocol, network, or user.

3254.0 --> 3254.9: One of those three.

3255.9 --> 3260.7: User, I think, I think user sucks, because, like, we do user-based regulation.

3261.0 --> 3266.4: Sanctions and taxes are a great example of, like, individual-based regulations.

3266.9 --> 3267.6: Everyone's favorite.

3267.7 --> 3268.9: Everyone loves a good tax framework.

3269.7 --> 3275.4: But, like, and protocol is, I think, important when you have administrators of systems, but

3275.4 --> 3280.5: also a lot of people will claim First Amendment speech developer, like, rights, depending on

3280.5 --> 3281.6: how it's implemented.

3282.0 --> 3287.6: So network, to me, looks like one of the most obvious places to go for regulation if you're

3287.6 --> 3289.5: not mitigating stuff at the application layer.

3290.0 --> 3291.4: But that's just a Carroll House view.

3291.6 --> 3292.8: Not everyone feels that way.

3293.2 --> 3297.2: A lot of people really disagree with that, which, you know, the whole point of this was

3297.2 --> 3298.9: to stoke thinking and discussion.

3299.8 --> 3303.3: But I highlight this, because when we were talking about, like, where should disclosure

3303.3 --> 3308.0: obligations or other sort of features have to exist, some of the issues of decentralization

3308.0 --> 3310.0: at one layer means having to go elsewhere.

3310.9 --> 3312.1: And then I'll stop on this slide.

3312.5 --> 3318.2: Just the framing that we had pitched on how to think about what the right regulatory response

3318.2 --> 3325.2: should be and where the perimeter should move was based on, we had come up with this, on,

3325.3 --> 3332.2: like, is that regulatory shift feasible, proportional, useful, and how costly is it?

3332.2 --> 3338.2: So we are thinking about things like the extent of control or influence, the type of activity

3338.2 --> 3343.2: being different, the level of responsibility, because, like, I can write regulation all

3343.2 --> 3348.4: day and policy, but my ability to practically enforce it is a totally different answer.

3349.5 --> 3351.8: So, like, anyway, I just wanted to highlight this.

3352.0 --> 3356.1: We did present this publicly, so it's on YouTube somewhere or whatever, but I can also send

3356.1 --> 3358.0: the presentation to anyone who's interested in it.

3358.3 --> 3362.2: To whatever extent it's useful for you guys, I wanted to just throw it out there as an

3362.2 --> 3367.0: interesting context for what comes next after your great assessment of how decentralized

3367.0 --> 3367.6: you are.

3367.9 --> 3368.9: Did you go with any measures?

3369.6 --> 3371.7: No, we did not apply it.

3371.8 --> 3373.8: This was definitely, like, theoretical in our framing.

3374.0 --> 3378.6: We did come up with a bunch of recommendations to regulators on how to think about DeFi.

3379.5 --> 3382.5: Like, I'll admit that my own take is that, like, regulators are not ready for this.

3382.6 --> 3383.7: Legislators certainly are not.

3384.2 --> 3390.5: We should be focused on getting the easy stuff on centralized players right and not tortuously

3390.5 --> 3395.8: writing in terrible definitions of DeFi, which is what the current legislation is doing.

3396.8 --> 3402.4: And in a dangerous way, they're carving out, like, certain things from DeFi that I don't,

3402.6 --> 3405.6: I'm very worried about the U.S. market structure legislation because...

3405.6 --> 3406.0: Give an example.

3407.4 --> 3413.2: Like, specifically when the original version had, like, that the desire to decentralize

3413.2 --> 3416.0: should be the marker of maturity of a blockchain system.

3416.1 --> 3419.4: And I'm like, so first off, I don't think decentraliz

ation should necessarily be the

3419.4 --> 3422.4: marker of maturity based on the risks of, like, yeah.

3422.7 --> 3424.8: But of course, you know, said, like, a regulator, right?

3426.1 --> 3429.3: But even just saying, I desire to be decentralized.

3429.3 --> 3432.8: I plan to be one day, like, as if that should mean anything.

3432.8 --> 3434.3: I plan to be one-to-one sometime.

3434.9 --> 3435.2: Exactly.

3435.8 --> 3439.2: So, I know, again, like, well, you know, I still walk and quack like a regulator.

3439.4 --> 3441.4: So, like, my own positions are pretty predictable.

3443.2 --> 3445.6: But, like, to me, those are some of the issues.

3445.6 --> 3448.9: There's a definition right now in the current market structure legislation,

3449.1 --> 3454.3: and I'll stop talking after this, I promise, that is proposing that basically,

3454.4 --> 3459.6: unless there is a formal agreement of people at a certain level,

3460.5 --> 3463.3: this is the way that they're trying to carve out, like, DAOs and other things,

3463.3 --> 3465.0: is that, like, if there's not a formal agreement,

3465.4 --> 3469.3: then you shouldn't be able to be captured as an unincorporated organization,

3470.3 --> 3473.9: i.e. be able to be regulated as a person, like, a legal person,

3473.9 --> 3477.5: the way that we've done things like the Ukidao action and other stuff in the U.S.

3478.8 --> 3481.2: So, they feel like if there's not a formal agreement,

3481.4 --> 3483.3: then you're not operating in concert,

3483.7 --> 3487.2: and therefore you shouldn't be able to be held as an unincorporated organization.

3487.9 --> 3488.4: That's wild.

3488.8 --> 3490.2: It is to me, because I'll tell you,

3490.3 --> 3493.0: if I couldn't designate ransomware gangs and cartels

3493.0 --> 3495.0: because they don't have a written charter saying,

3495.6 --> 3498.4: yeah, I agree that we're all working in concert together,

3498.6 --> 3500.1: so, like, that would be a problem.

3500.7 --> 3503.8: And, like, so, I don't tend to like these definitions,

3504.1 --> 3506.7: but, again, I, you know, I was a regulator,

3506.9 --> 3509.2: so, like, my position is pretty predictable on that.

3509.9 --> 3512.1: Yeah, I think that, like, on the DAO thing,

3512.4 --> 3514.0: I know it's an amazing presentation.

3514.7 --> 3517.8: I remember I read the report that you made two years ago, maybe,

3518.2 --> 3519.6: but this seems much newer than that,

3519.6 --> 3522.0: and you've taken a few, what is this, from two years ago as well?

3524.9 --> 3527.6: Well, you published a report first before the present ation.

3528.2 --> 3528.9: The report was great.

3531.3 --> 3531.8: Yeah.

3534.0 --> 3537.8: Yeah, I wonder, like, I think that the KYC

3537.8 --> 3539.6: is obviously the dirty conversation

3539.6 --> 3542.0: because it means as soon as you're KYC-ing someone,

3542.1 --> 3543.4: that means someone wants to know about them,

3543.6 --> 3547.2: and that means you have to disclose information.

3549.2 --> 3552.4: I think that most of the industry has started to real ize

3552.4 --> 3555.2: that there are very few gates left

3555.2 --> 3559.8: where you can own, you know, dispose of,

3560.8 --> 3565.6: acquire, mine crypto without disclosing yourself now.

3565.8 --> 3568.2: I'm pretty sure every mining pool,

3568.3 --> 3570.0: major mining pool requires you to KYC.

3570.8 --> 3572.7: I'm pretty sure every single,

3572.8 --> 3575.8: I'm sure every single exchange requires you to KYC.

3576.6 --> 3579.6: I'm, do you want to buy this crypto?

3579.8 --> 3581.7: You got to, and you only have your fiat currency.

3582.4 --> 3583.8: You have to go to an exchange.

3584.4 --> 3586.4: The only way that's a bit untapped,

3586.6 --> 3588.2: that's sadly still being tapped a little bit,

3588.5 --> 3589.7: is like virgin crypto.

3590.2 --> 3592.2: Like, I remember when we mined, you know,

3592.7 --> 3597.5: Bitcoin and Litecoin and, you know, Monero and stuff.

3598.1 --> 3600.6: No one asked for my KYC because I bought equipment.

3601.5 --> 3603.4: And the software doesn't require a KYC,

3603.9 --> 3605.9: but for you to delegate to a provider,

3606.0 --> 3606.8: you generally have to.

3607.3 --> 3609.7: So there's very few entry points now

3609.7 --> 3611.7: where you're required to,

3611.7 --> 3614.1: but I think most of the market is already covered,

3614.3 --> 3615.4: which is pretty funny.

3615.8 --> 3617.4: I think most of the market's covered by KYC

3617.4 --> 3619.8: and sanctions already, and we're pretty clear about i t.

3620.3 --> 3621.5: It's just a bit more opaque

3621.5 --> 3623.0: when you have like mixers and stuff.

3623.2 --> 3625.0: It's obviously a conversation of this right now,

3625.2 --> 3627.5: but no, this is really good as well.

3627.6 --> 3630.2: I saw Michael Shalev from Fireblocks was on this,

3630.4 --> 3632.2: and he's amazing what Fireblocks does

3632.8 --> 3634.8: and what they've done with their networks

3634.8 --> 3637.8: to ensure like enterprise solutions,

3637.9 --> 3640.2: enterprise can actually exchange with each other
3640.2 --> 3641.1: in their private networks,
3641.1 --> 3641.9: which is amazing.
3643.4 --> 3645.7: But then again, it poses a greater risk
3645.7 --> 3647.1: for retirement fails there too.
3647.7 --> 3648.8: But this is really great.
3648.8 --> 3651.1: Any questions from anybody here around this stuff?
3651.4 --> 3651.9: You got one?
3655.9 --> 3657.0: Oh, there's some chats.
3657.2 --> 3657.4: Sorry.
3660.3 --> 3661.6: What we got?
3664.9 --> 3665.7: One second.
3665.9 --> 3668.9: Jim's posted the definition from the ag committee bill
1
3668.9 --> 3673.5: for just to bring it to the group's attention.
3676.6 --> 3676.9: Okay.
3676.9 --> 3678.2: If anybody's in there, you can have a read of that.
3678.6 --> 3680.0: Do you have any comment on that, Jim?
3680.1 --> 3681.0: You wanted to add as well?
3682.2 --> 3685.6: Oh, I just wanted to echo what Carol said.
3685.8 --> 3690.3: The definitions are a bit problematic.
3691.2 --> 3691.5: Yeah.
3691.8 --> 3692.6: It seems pretty arbitrary.
3693.5 --> 3693.7: Yeah.
3695.1 --> 3695.9: May go for it.
3698.2 --> 3699.0: Check the mic.
3701.9 --> 3703.2: I just turned it back on.
3703.2 --> 3703.7: It should be good.
3704.1 --> 3704.4: Yeah.
3704.4 --> 3704.7: Yeah.
3704.7 --> 3707.6: Talking about KYC or holding users accountable
3707.6 --> 3709.4: in this totem pole of a few,
3709.4 --> 3710.8: you might be able to point a finger at
3710.8 --> 3713.0: or accredited investor status.
3713.0 --> 3716.8: A cool area where we're seeing this in the industry pop
up
3716.8 --> 3719.2: is in the tokenization of real world assets,
3719.6 --> 3721.9: tokenizing stocks and bonds, right?
3721.9 --> 3725.5: And this industry needs to have KYC
3725.5 --> 3728.1: of the users of the holders, right?
3728.3 --> 3729.8: If you go on chain,
3729.9 --> 3732.4: then you're just really holding a tokenized representation
of it.
3732.6 --> 3733.7: It's not the same thing.
3733.8 --> 3735.7: You don't actually hold the stock, right?
3735.7 --> 3737.4: You don't get the same rights as you would
3737.4 --> 3741.2: holding a stock in a company in a traditional way, right?

ght?

3741.3 --> 3743.8: So I think this is something where you see the NASDAQ,
3743.9 --> 3744.7: you see Superstate,
3744.7 --> 3745.7: and you see a lot of other players
3745.7 --> 3749.5: trying to make this truly on chain,
3749.6 --> 3751.6: not in a centralized closed loop system.
3752.1 --> 3754.3: And this is where I think you described
3754.3 --> 3756.4: that Binance has a token
3756.4 --> 3757.4: that if it's held in your wallet,
3757.7 --> 3762.7: you know that that person or holder has been KYC'd.
3762.9 --> 3766.1: And I'm not sure if that token is non-transferable th
en
3766.1 --> 3768.1: because then that's a really cool way,
3768.8 --> 3769.9: non-transferable.
3770.3 --> 3771.8: So now that wallet, I think,
3772.3 --> 3774.5: has a mechanism of being whitelisted
3774.5 --> 3778.6: in order to continually trade or receive,
3778.7 --> 3780.8: sell and receive real world assets,
3781.1 --> 3784.2: stock, Google stock, Tesla stock, right?
3784.2 --> 3785.9: Another cool way,
3786.2 --> 3789.5: and we've seen this pop up in conversations
3789.5 --> 3791.3: of how to whitelist a wallet
3792.2 --> 3797.3: and not to try to promote the world protocol here,
3797.4 --> 3799.8: but your proof of personhood accreditation
3799.8 --> 3801.3: attached to your world ID,
3801.6 --> 3806.2: attached to your wallet can be leveraged,
3806.3 --> 3808.8: can essentially be duplicated to have an attestation
3808.8 --> 3810.4: that this person's been KYC'd.
3810.6 --> 3812.8: But ultimately you will need a trusted third party,
3812.8 --> 3813.8: a KYC provider.
3813.8 --> 3815.7: Someone like Persona, right?
3815.8 --> 3817.9: That is going to hold your KYC information,
3818.2 --> 3820.4: not release it because on chain,
3820.6 --> 3822.5: you don't want to be doxed, right?
3822.5 --> 3823.6: You don't want to be disclosed.
3823.7 --> 3826.8: You want to maintain the privacy in your transactions,
right?
3826.8 --> 3829.7: But the regulator wants to be able to go to someone
3829.7 --> 3831.4: and find out who that person is.
3831.5 --> 3833.8: So if there's a trusted third party, right?
3833.8 --> 3835.8: That holds that KYC information,
3836.0 --> 3838.3: but was able to produce an attestation
3838.8 --> 3841.1: like world ID's proof of person attestation
3841.1 --> 3842.6: that's connected to the wallet.
3842.6 --> 3845.0: It whitelists that wallet to trade
3845.0 --> 3847.4: in that class of asset, right?
3847.7 --> 3850.9: And I'm just saying, I think your biggest opportunity,

3851.5 --> 3852.1: to be honest with you,
3852.4 --> 3856.5: is going to have tokenized stores of identity
3856.5 --> 3859.3: that get further reinforces identity
3859.3 --> 3861.7: as opposed to being a singular point.
3861.9 --> 3864.2: I used to work for an organization called Frankie One,
3864.5 --> 3866.3: where we work with the likes of Binance,
3866.3 --> 3869.4: Coinbase, Gemini on KYC, KYB globally.
3870.4 --> 3872.2: And one of the things I was pushing for
3872.2 --> 3874.4: in the product division was this idea
3874.4 --> 3876.4: that if you have data sources,
3876.7 --> 3878.3: you have address, you have your first name,
3878.4 --> 3880.6: last name, date of birth, nationality,
3880.8 --> 3882.9: even your document and document ID,
3883.6 --> 3885.8: you could tokenize that to a degree
3886.4 --> 3888.1: and then have that in a sole bound token,
3888.2 --> 3890.2: which is what the Binance account bound token is.
3890.8 --> 3892.3: And it allows you to access that.
3892.4 --> 3894.3: And if you are a regulated entity
3894.3 --> 3895.5: and you want to risk,
3895.7 --> 3896.6: because every single time,
3896.7 --> 3898.9: like you're risking to interact with anybody,
3898.9 --> 3900.2: you're risking to take information
3900.2 --> 3902.0: or if you choose not to take more information,
3903.7 --> 3904.9: that having that available
3904.9 --> 3906.6: is really, really, really powerful.
3906.8 --> 3908.2: And that's where Deutsche Bank was leading.
3908.5 --> 3910.5: They made a product for the solution they had,
3910.6 --> 3911.9: which is the sole bound token
3911.9 --> 3914.2: for their credit investors.
3914.7 --> 3916.5: And then they made a product thereafter
3916.5 --> 3917.7: or more like they made that product
3917.7 --> 3919.1: so that they could prove that on chain.
3919.4 --> 3921.7: But I do think you have a really big opportunity
3921.7 --> 3924.4: to use like not some sub, for instance,
3924.5 --> 3925.6: because they use internal data sources,
3925.7 --> 3928.0: but like, you know, government data sources globally
3928.0 --> 3929.4: across them to be able to make
3929.4 --> 3930.4: those new proofs,
3930.5 --> 3931.9: because I think IRS is one element
3931.9 --> 3934.5: and proof of personhood is good.
3934.7 --> 3936.6: But, you know, AI is getting very good right now
3936.6 --> 3938.6: to spoofing really, really good,
3938.7 --> 3940.1: you know, deep fakes, et cetera.
3941.2 --> 3943.4: So good that it's nearly impossible
3943.4 --> 3947.1: to determine from even other AI
3947.1 --> 3949.2: if the counter AI doesn't catch up fast enough.
3952.9 --> 3953.8: It's been really good.

3953.9 --> 3954.7: I just wanted to quickly,
3954.9 --> 3955.9: I just wanted to check out quickly
3955.9 --> 3957.3: because I wanted to see anyone from the GFSA.
3957.4 --> 3958.4: Who's from the GFSA here?
3958.4 --> 3959.9: I know people are, don't lie to me.
3960.8 --> 3962.8: Anyone from the GFSA want to give me input
3962.8 --> 3964.1: around the decentralization?
3964.2 --> 3965.2: Because this whole entire presentation
3965.2 --> 3966.3: was about you guys
3966.3 --> 3967.8: and we haven't heard from you yet, okay?
3968.4 --> 3970.2: Can I say something first?
3970.7 --> 3971.5: Thank you, Takuya.
3972.1 --> 3972.7: Okay.
3973.2 --> 3976.2: So from probably regulators perspective,
3976.5 --> 3979.3: definition of decentralization itself
3979.3 --> 3980.8: is not really important.
3981.2 --> 3983.3: The most important thing is like
3983.3 --> 3985.5: how to mitigate risks, right?
3986.1 --> 3988.6: And I think the taxonomy
3988.6 --> 3990.0: and technical metrics
3990.0 --> 3992.4: that you like introduced in this slides,
3992.6 --> 3993.6: these slides are pretty,
3993.8 --> 3995.2: I think useful when it,
3995.5 --> 3997.0: even when it comes to thinking about
3997.0 --> 3998.4: like what are the, you know,
3998.5 --> 3999.4: ways of like, you know,
3999.4 --> 4000.7: mitigating risk as well.
4001.5 --> 4003.3: And so the GFSA,
4003.8 --> 4005.2: from GFSA's perspective,
4005.4 --> 4008.8: so we are going to change the regulation
4008.8 --> 4010.0: for ripped assets
4010.0 --> 4011.8: and there will be a transition
4011.8 --> 4013.3: from Payment Services Act
4013.3 --> 4016.0: to Financial Instrument and Business Act.
4017.9 --> 4020.3: And the token issuers
4020.3 --> 4023.3: and intermediaries of ripped assets
4023.3 --> 4024.7: will be under regulations
4024.7 --> 4027.2: and token issuers will need
4027.2 --> 4028.4: to fulfill the disclosure,
4029.4 --> 4030.7: you know, obligations
4030.7 --> 4032.8: and they need to, you know,
4033.3 --> 4034.8: I think, of course,
4034.9 --> 4036.4: publish the right white papers
4036.4 --> 4038.0: and sometimes like issuers,
4038.3 --> 4040.9: if there isn't any like specific issuers,
4041.2 --> 4042.9: the intermediaries who is going to,
4042.9 --> 4044.0: who is going to deal

4044.0 --> 4045.2: with that ripped assets
4045.2 --> 4049.2: needs to like disclose white papers
4049.2 --> 4050.9: or like, you know, related information.
4051.3 --> 4052.7: I think this is pretty similar
4052.7 --> 4055.6: to like what Mika does in Europe,
4056.1 --> 4059.1: but in terms of DeFi,
4060.2 --> 4062.8: there aren't any specific requirements,
4063.0 --> 4064.6: you know, in terms of what is,
4064.7 --> 4066.2: what should be written in the,
4066.3 --> 4067.2: you know, white paper
4067.2 --> 4069.0: or like in the, you know,
4069.0 --> 4071.1: disclosure, you know, documents, right?
4071.1 --> 4074.3: So this is a little bit of the problem
4074.3 --> 4075.9: in terms of the supervisory,
4076.1 --> 4077.3: you know, teams in JFSA
4077.8 --> 4081.0: and also when it comes
4081.0 --> 4082.4: to talking about DeFi,
4082.9 --> 4084.7: like token issuers might be separated
4084.7 --> 4086.9: from like protocol developers, right?
4087.0 --> 4090.0: So how we can mitigate the risks of DeFi,
4090.6 --> 4091.7: this is a question
4091.7 --> 4094.4: and like maybe like token issuers
4094.4 --> 4096.8: will not disclose just enough,
4096.9 --> 4098.3: you know, information about that
4098.3 --> 4099.8: DeFi protocol itself
4100.5 --> 4102.1: and they do not like,
4102.7 --> 4104.0: that kind of information
4104.0 --> 4106.3: will not like, you know,
4107.1 --> 4109.8: be useful for like users
4109.8 --> 4112.2: and customers to actually,
4112.4 --> 4114.3: accurately understand, you know,
4114.4 --> 4117.0: what is the risk of like the DeFi protocol
4117.0 --> 4122.1: that users are going to use, right?
4122.1 --> 4123.8: What will be helpful for you as a regulator?
4124.4 --> 4127.2: So it's not,
4128.5 --> 4131.4: we can't say it right now,
4131.6 --> 4133.1: but one of the things
4133.1 --> 4135.2: that we are very interested in is like,
4135.4 --> 4137.9: so we actually talked about the same thing
4137.9 --> 4139.5: in the JFSA round table
4139.5 --> 4140.5: that happened yesterday
4140.5 --> 4142.2: and we talked about
4142.2 --> 4145.5: how we can mitigate risks of AML safety
4146.4 --> 4148.4: in a different way
4148.4 --> 4151.6: than like what we have,
4151.7 --> 4154.8: like trouble rules and like KYC and stuff.
4154.8 --> 4157.7: And Carol introduced the,

4157.8 --> 4160.6: you know, table that she showed
4160.6 --> 4162.9: and there are a lot of different players,
4163.1 --> 4165.1: different layers in DeFi, right?
4165.9 --> 4170.0: And the priorities from my perspective
4170.0 --> 4171.1: as the FSA
4171.7 --> 4174.1: is to have a good understanding
4174.1 --> 4176.5: of like what are the technical measures,
4177.3 --> 4179.1: what are the technical countermeasures
4179.1 --> 4180.9: and like the technical,
4181.2 --> 4183.6: like risk mitigation ways
4184.4 --> 4186.2: in each layer for DeFi
4186.2 --> 4189.1: and it doesn't have to be like trouble rules.
4189.4 --> 4192.1: Maybe you can use solve on token
4192.1 --> 4194.4: or like, you know, DES protocol
4194.4 --> 4197.9: that like Uniswap and Securitize use
4197.9 --> 4199.1: or like, you know,
4199.1 --> 4201.9: maybe whitelisted smart contract or whatever,
4202.2 --> 4204.6: but there might be some other ways
4204.6 --> 4207.6: and we are going to look into the details
4207.6 --> 4210.5: of like what are the technical measures,
4211.0 --> 4213.1: right, in the market right now.
4213.1 --> 4215.1: So the measures and the technical controls,
4215.3 --> 4216.0: let's say for example,
4216.2 --> 4219.1: like you want to have smart contract traceability,
4219.2 --> 4219.5: for instance,
4219.6 --> 4220.7: you want to make sure that it's not being,
4220.9 --> 4222.9: it cannot operate with any sanctioned
4222.9 --> 4225.3: smart contract or address
4225.3 --> 4226.2: or for instance,
4226.3 --> 4228.8: it can't be upgraded by more than,
4228.9 --> 4230.4: let's say three in a signature
4230.9 --> 4234.0: all the way through to assets can be frozen.
4234.5 --> 4235.6: Those are technical controls
4235.6 --> 4236.9: and measures that you could implement
4236.9 --> 4238.2: is what you're getting to.
4238.4 --> 4241.8: Yeah, and this is my perspective,
4241.8 --> 4245.4: but every layer doesn't have to be
4246.0 --> 4247.3: like under the regulation
4247.3 --> 4249.0: under the obligations,
4249.5 --> 4251.6: needs to be subject to the obligations.
4251.9 --> 4254.2: Maybe like one layer could be okay.
4254.4 --> 4256.9: It depends on the situation, I guess.
4257.2 --> 4258.7: It depends on the DeFi
4259.3 --> 4260.9: and we are talking about,
4261.1 --> 4263.4: but I think, let's say,
4263.9 --> 4265.1: like on app layer,
4265.5 --> 4268.6: we do KYC on smart contract level,

4269.1 --> 4271.5: we do whitelisted smart contract,
4271.5 --> 4272.4: for example,
4272.6 --> 4274.4: it might be too much, right?
4274.9 --> 4277.5: So there needs to be some one layer
4278.1 --> 4279.3: and in one,
4280.9 --> 4282.5: that would be subject to regulations,
4282.8 --> 4284.5: that would be subject to obligations
4285.4 --> 4291.1: and maybe like this is an idea
4291.1 --> 4292.9: just I introduced yesterday
4292.9 --> 4296.6: and we didn't have time to talk about it
4296.6 --> 4298.2: much details,
4298.2 --> 4303.0: but maybe let's say application layer
4303.0 --> 4304.8: will be subject to regulations
4305.6 --> 4308.2: and they need to be compliant
4308.2 --> 4313.6: to some regulations in terms of MLCFT,
4314.5 --> 4318.0: but if let's say that application layer
4319.4 --> 4323.6: only connects with the DeFi protocols
4324.1 --> 4327.2: that are compliant to whitelisted
4328.1 --> 4328.3: stuff,
4328.8 --> 4330.7: maybe that application
4331.4 --> 4333.9: will be exempt from the regulations.
4335.5 --> 4339.2: That kind of mechanism could be helpful,
4339.5 --> 4340.0: I don't know.
4340.7 --> 4343.9: So that's what I was thinking about,
4344.1 --> 4347.7: but complex issue is like
4347.7 --> 4349.5: in terms of MLCFT
4349.5 --> 4354.3: or appropriate explanation to customers,
4354.5 --> 4356.5: maybe just one layer could be enough,
4356.5 --> 4358.2: but in terms of cybersecurity,
4358.9 --> 4359.7: it's different.
4359.9 --> 4362.4: Every layer needs to be compliant, of course.
4362.8 --> 4363.9: So that's,
4364.2 --> 4366.4: I think it depends on the functions of regulations,
4366.6 --> 4370.0: but that's what I am thinking about these days.
4370.3 --> 4370.9: But yeah.
4371.2 --> 4372.6: Yeah, I think that if you're a regulator,
4372.8 --> 4374.7: you probably should care more about the app layer.
4375.8 --> 4379.3: Personally, I believe as a technical individual
4379.3 --> 4382.1: that looking at the protocol layer is everything
4382.1 --> 4383.0: because if that fails,
4383.0 --> 4385.7: it doesn't matter how great you regulate the top layer
4385.7 --> 4387.5: because it all falls down in the end.
4388.1 --> 4390.3: But I think that you can do a clear pass over,
4390.4 --> 4392.4: let's say if there was a mixture
4392.4 --> 4395.1: of these metrics right here,
4395.4 --> 4397.6: what you've created within your team, right?

4398.0 --> 4398.6: And as well,
4398.7 --> 4401.4: the kind of the need for certain mechanisms,
4401.7 --> 4402.5: levers and controls,
4403.0 --> 4405.1: I think they could be something really well-produced
4405.1 --> 4406.5: that works between all of these.
4406.6 --> 4407.9: This could look more the protocol layer,
4408.3 --> 4409.5: this could look more holistically
4409.5 --> 4412.2: about the ecosystem as a whole.
4412.6 --> 4414.1: But what you're looking at is
4414.1 --> 4416.6: what kind of thing could we have at each layer?
4416.7 --> 4417.8: Let's say for instance, consensus,
4419.0 --> 4420.9: do the block producers need a KYC?
4421.1 --> 4425.2: No, but maybe people who delegate to a pool may need
to,
4425.4 --> 4427.2: maybe the pool has to manage that.
4427.7 --> 4428.6: To the tokenomics,
4429.0 --> 4431.6: do they have to go through like the Howey test
4431.6 --> 4432.3: or similar, right?
4432.6 --> 4433.6: Or obviously not for Japan,
4433.8 --> 4435.1: but a similar kind of test
4435.1 --> 4436.4: to say that it is a security,
4436.5 --> 4437.0: it's a commodity,
4437.2 --> 4438.0: it's something else, right?
4438.0 --> 4439.0: To prove what it is.
4439.5 --> 4440.7: Then for the network itself,
4440.7 --> 4444.3: how do they ensure like the soundness of their full node,
4444.4 --> 4445.9: like they're not having spoof nodes or whatnot.
4446.3 --> 4447.2: And then software,
4447.4 --> 4449.8: I guess software kind of gets harder,
4449.8 --> 4450.8: like who can be a contributor,
4450.9 --> 4452.1: you don't really want to control that.
4452.3 --> 4454.0: But then again, like geography,
4456.2 --> 4457.6: maybe in certain jurisdictions,
4457.6 --> 4459.1: if it's going to be operating there,
4459.2 --> 4460.6: it has to be disclosed
4460.6 --> 4462.8: about who's operating that node.
4463.9 --> 4464.9: And then governance,
4465.8 --> 4467.5: I guess it gets more complicated there,
4467.5 --> 4469.4: but I guess if you solve the block producer layer,
4469.4 --> 4471.8: the token issuer and token ownership layer,
4472.0 --> 4473.0: and the node layer,
4473.1 --> 4474.5: you could be able to solve most of it.
4476.6 --> 4478.3: But yeah, I'd love to see a mix of these.
4479.0 --> 4480.7: Please, you had a question, my friend?
4482.6 --> 4484.0: Also, Taka, you didn't mention who you are.
4485.8 --> 4486.4: Who are you?

4486.5 --> 4486.8: What do you do?
4488.7 --> 4491.2: So I said what I wanted to say,
4491.7 --> 4494.6: and that's it.
4495.3 --> 4496.6: What is your experience?
4496.6 --> 4497.6: What do you do at JFSA?
4499.8 --> 4500.9: JFSA, that's...
4500.9 --> 4501.6: What do you do?
4508.8 --> 4511.2: So what am I supposed to talk about?
4512.1 --> 4513.3: Oh, my introduction.
4513.5 --> 4514.2: Oh, okay, okay.
4516.1 --> 4518.1: I am in the crypto assets
4518.1 --> 4519.4: and blockchain innovation office.
4520.5 --> 4526.8: And I am actually in a team of like,
4526.8 --> 4530.6: trying to find out what is the best way
4530.6 --> 4534.2: of mitigating risks of DeFi.
4535.1 --> 4539.2: And we are still having a lot of discussions on it.
4539.5 --> 4541.1: And one of the discussions we had
4541.1 --> 4546.1: was the round table that happened yesterday.
4546.6 --> 4548.0: But yes, so...
4549.3 --> 4553.6: And I'm also working on cybersecurity stuff
4554.4 --> 4557.0: for crypto assets in JFSA.
4557.7 --> 4559.4: So is it enough?
4559.7 --> 4560.3: That's enough, yeah.
4560.3 --> 4560.5: Okay.
4564.9 --> 4566.1: You had a question?
4566.2 --> 4566.8: You want me to put a pin up?
4569.0 --> 4571.0: Anything additional from the JFSA is very helpful,
4575.1 --> 4575.5: because...
4575.5 --> 4576.4: Oh, check the microphone.
4577.3 --> 4578.4: And also introduce yourself too.
4578.7 --> 4579.1: I did a little bit.
4579.1 --> 4581.6: So my name is Yuta, also from JFSA,
4581.8 --> 4582.6: on the same team.
4582.6 --> 4586.7: And I think the difference between the US and Japan
4586.7 --> 4591.7: is why we are discussing decentralization in Japan
4591.7 --> 4595.9: is not distinguished from the securities and the comm
odities.
4596.4 --> 4598.2: That is very US-centric issue.
4598.9 --> 4604.1: And in Japan, our focus is more on the issuers,
4604.8 --> 4607.7: if the issuer is identifiable or not.
4608.1 --> 4609.6: If the issuer is identifiable,
4609.6 --> 4614.9: clearly they should be subject to disclosure requirem
ents,
4615.4 --> 4616.9: but it's not identifiable.
4617.9 --> 4621.8: The problem is what it means by unidentifiable.
4622.2 --> 4625.4: Under what conditions they cannot be identified?
4625.8 --> 4628.1: That is relevant to decentralization.

4628.8 --> 4632.8: So for example, the Bitcoin, it's clearly identifiable,
4633.3 --> 4634.2: but why?
4634.9 --> 4636.1: So that is the question.
4636.1 --> 4640.7: So to what extent decentralization is required
4640.7 --> 4644.6: to be recognized as the issuer is not there?
4645.1 --> 4647.4: So that is the whole point.
4648.7 --> 4649.8: That is the issuer side.
4650.0 --> 4652.9: The other side is the service provider side.
4653.4 --> 4656.6: I think Takaya already explained our thinking.
4658.1 --> 4661.4: If the centralized exchange, it's clearly regulated.
4661.9 --> 4664.9: If it is decentralized exchange, it's unclear yet.
4664.9 --> 4669.3: So maybe under certain conditions,
4669.6 --> 4671.9: they need to comply with Japanese regulation,
4672.2 --> 4676.5: but under certain conditions might not be needed.
4677.0 --> 4678.4: That is still unclear.
4679.2 --> 4681.3: That is also relevant to the discussion
4681.3 --> 4682.5: on the decentralization.
4683.3 --> 4687.7: So we need to think about it going forward.
4688.5 --> 4691.5: Like if it is decentralized,
4692.1 --> 4695.7: still we need to achieve regulatory objectives.
4696.1 --> 4698.0: So what measures we can take,
4698.6 --> 4701.9: like extending the regulatory perimeter,
4702.7 --> 4707.2: or I should say,
4708.8 --> 4711.3: acknowledging some kind of safe harbor
4711.8 --> 4713.9: if they do something.
4714.4 --> 4719.5: This is still, I guess it's not just relevant to Japan,
4719.5 --> 4722.9: but also globally, everyone has the same issue.
4726.0 --> 4729.0: So decentralization in certain cases like U.S.,
4729.0 --> 4732.4: it's very specific meaning, like commodity or securities.
4733.4 --> 4738.2: And in Japan, issuer is identifiable, unidentifiable.
4739.1 --> 4743.2: But for the service provider decentralization,
4743.5 --> 4744.6: everyone has the same issue.
4744.8 --> 4747.1: So maybe we can discuss globally
4747.1 --> 4749.1: how we can deal with risks.
4750.0 --> 4751.4: I think we're pretty much at time right now,
4751.4 --> 4754.4: but I think one thing I want to mention to regulators
4754.4 --> 4756.2: that is very much overlooked,
4756.4 --> 4758.6: and I don't see any discussion about this
4758.6 --> 4761.2: in any forum or any telegram group or anything,
4761.8 --> 4762.9: is launchpads.
4763.6 --> 4765.9: The majority, the overwhelming majority
4765.9 --> 4770.6: of new token launches occur through launchpads.
4771.1 --> 4775.1: Launchpads provide marketing support, technical support,

4775.5 --> 4777.6: and then equally the market making,
4777.6 --> 4779.2: liquidity provision, those elements.
4779.9 --> 4781.4: And no one talks about them.
4781.9 --> 4784.2: And I wonder why, and I don't understand why they don't.
4784.8 --> 4786.1: Because working at Near,
4786.4 --> 4789.0: as like the leading a lot of founders success,
4789.3 --> 4791.1: I was working with teams to launch tokens.
4792.1 --> 4795.1: But all these organizations that would launch a token
4795.1 --> 4797.0: was like essentially a centralized entity
4797.0 --> 4799.2: that was suggesting how to set up the tokenomics,
4799.5 --> 4800.8: suggesting how to go to market,
4801.0 --> 4804.1: suggesting even like complicated node structuring
4804.1 --> 4806.6: for like prediction markets
4806.6 --> 4811.2: through to compute asset, decentralized compute assets.
4811.9 --> 4813.4: And so I think for the regulators here,
4813.5 --> 4814.4: one thing to really consider
4814.4 --> 4819.4: is maybe placing the issuance responsibility
4819.4 --> 4820.6: onto market makers.
4821.1 --> 4823.0: Because in the end, new token issuance
4823.0 --> 4824.6: will only ever exist
4824.6 --> 4827.0: because they can have people who can buy and sell that token.
4827.7 --> 4828.8: I'm not going to launch a token
4828.8 --> 4829.9: unless I know it's going to be successful.
4830.6 --> 4831.8: I have a better chance of success
4831.8 --> 4833.7: because I know that there is a team
4833.7 --> 4835.2: that's going to help me get liquidity,
4835.6 --> 4837.0: talk to market makers, do marketing,
4837.1 --> 4837.8: whatever else, right?
4838.4 --> 4841.1: And maybe it's not a matter of who you should go after,
4841.2 --> 4844.1: but actually who can help you issue these tokens
4845.2 --> 4848.6: because it helps the tokens actually become successful.
4849.4 --> 4853.0: And then equally requires the tokens to receive the support
4853.0 --> 4855.5: and those issuers who could be issuers potentially
4855.5 --> 4856.9: to be part of that.
4858.1 --> 4860.3: And I'm thinking about large global exchanges
4860.3 --> 4861.9: that are localized here that want to be.
4862.7 --> 4864.2: That's just one thought I would suggest
4864.2 --> 4865.4: to the regulators here,
4865.5 --> 4869.3: to be looking at market makers and the token launchpads.
4869.5 --> 4870.4: Like where does Genesis begin

4871.2 --> 4872.4: if you're not a protocol?
4872.9 --> 4874.9: If you're not launching a blockchain and you're a dApp,
4875.1 --> 4876.0: where do you want to launch a token?
4876.4 --> 4877.1: Through one of these.
4878.2 --> 4879.3: Any last comments for anybody?
4882.2 --> 4882.9: All right.
4883.3 --> 4884.1: How exciting.
4884.8 --> 4885.0: Awesome.
4885.7 --> 4887.1: Thank you everyone for your time today.
4887.2 --> 4888.1: I really appreciate it.
4888.3 --> 4889.9: Please come to me or anybody here.
4889.9 --> 4892.4: There's a lot of amazing and diverse people here
4892.4 --> 4894.5: who have a lot of amazing opinions and expertise
4894.5 --> 4897.1: across a number of different topics on the blockchain.
4897.9 --> 4899.2: This is a growing topic.
4899.7 --> 4901.3: And thank you so much for everyone being here.
4901.4 --> 4902.3: And I'll see you all soon.
4909.6 --> 4910.7: Jim, that's all.
4912.1 --> 4912.9: Oh, he's out.
4916.0 --> 4916.4: Jim.
4918.3 --> 4918.7: James.
4919.4 --> 4919.8: Yes.
4920.5 --> 4921.1: We finished now.
4921.2 --> 4921.4: You're good.
4921.6 --> 4922.1: You can go to sleep.
4922.4 --> 4922.8: Okay.
4923.0 --> 4923.4: Thanks.
4924.9 --> 4925.3: Yeah.
4925.4 --> 4926.1: Great session.
4926.6 --> 4926.8: Yeah.
4927.7 --> 4928.5: Have a good one.
4929.1 --> 4929.5: Will do.